November 2026
Financial review

Current research: 6 November 2026 | Framework 8.0 | USD/common share

Q4 2027 ceiling $262.11 | Analytical Base 75 | Excel Base 75

The current forecast appears first. The complete October 7 analysis follows in a dated historical appendix. Earlier forecasts and their original information vintage are preserved.

Decision in the model

The post-results review places the Q4 2027 model ceiling at $262.11, compared with $262.24 previously. The exact revision is -0.0518003%, or -$0.135843 per share. Analytical Base and Excel Base both remain 75. The selected future operating path and 20x valuation schedule remain in place.

The earnings window runs from Q4 2027 through Q3 2028 and contains $12.941 billion of probability-weighted fully expensed GAAP operating profit. Each of 32 operating/deal states carries its own cash, debt, claims and diluted shares. The model floors common equity within each state and then sums the probability-weighted share values.

Q3 reported earnings strengthen the immediate operating anchor. Updated opening cash, debt, dated common shares and legal financing schedules then flow through the complete company model. The larger dated common-share count slightly reduces the active per-share result; the revised claims modestly offset that effect. The exact state-first attribution appears below.

The retained market reference is $288.98 at the October 7 2026 close. That dated figure also remains the fixed acquisition-award conversion-price proxy. Current report tables use the November 6 selected forecast assumptions.

Current model decision

USD millions and millions of shares; ceiling USD per common share

Horizon	Earnings window	F4Q GAAP OP	Multiple	Weighted end shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	12,940.61	20	936.23	262.11

Weighted OP and shares are diagnostic displays. Each of the 32 weighted states is valued using its own end claims and diluted shares before aggregation.

Exact active target revision

USD per share

Step	Amount
Previous Q4 2027 ceiling	262.24
Updated claims at old per-state shares	0.01
Updated per-state diluted shares	-0.15
Current Q4 2027 ceiling	262.11
Net change	-0.14
Net change percent	-0.05

Sequential state-first bridge: update end claims at each old state denominator, then update each state denominator. Financial operating paths and 20x remain fixed.

Sources: [S1], [S2], [S3].

Economic scope and matching claims

The valuation covers TI consolidated common equity. Fully expensed GAAP OP includes ordinary SBC, rent, target ordinary costs, purchase-accounting amortization, inventory step-up, integration and closing expense. Each complete window prices its labeled quarter and next three quarters at 20x.

End-window claims equal face debt plus $118 million of underfunded pension obligations and $503 million of deferred compensation, less eligible cash above a $3.5 billion operating reserve, capped at $3.501 billion. Rent remains in operating expenses. The claim schedule therefore retains its existing lease treatment. Excess cash beyond the cap receives no additional valuation credit.

Shares and claims are matched to the end of each state's four-quarter earnings window. Displayed weighted shares and claims help explain the result. The price calculation uses each individual state's denominator and equity floor.

Sources: [S1], [S3].

The investment case

TI combines a broad analog and embedded catalog with qualified internal manufacturing, extensive direct customer relationships and equipment that can support a larger revenue base. Its commercial opportunity is to deliver useful power, control and signal-chain chips into industrial equipment, vehicles and data centers while customers expand semiconductor content.

The Q3 call described broad demand across end markets and regions. Industrial revenue increased more than 40% year over year, automotive grew at a mid-teens rate and data-center revenue rose 95%, reaching about 13% of TI sales. Those observations support the recovery and content-growth assumptions already present in the forecast.

The model retains an 80% probability for a bounded legacy-pricing improvement,55% for incremental 800V chip content after overlap, and 25% for a renewed industrial/auto downturn. The pending Silicon Labs acquisition expands the embedded opportunity while bringing cash consideration, regulatory uncertainty, funding costs and GAAP acquisition charges.

Sources: [S2], [S4].

The revenue base and semiconductor content

The reference forecast separates industrial, automotive, data-center, personal-electronics, communications and calculator sales. In 2027 it models $8.80 billion industrial, $7.55 billion automotive, $4.80 billion data center, $3.45 billion personal electronics, $750 million communications and $160 million calculators. Product and end-market allocations are forecast assumptions.

Analog chips connect computation to voltage, current, temperature, motion and the physical world. More electrical functions can add sockets in robots, power supplies, vehicles and industrial equipment. Customer design work, embedded software and qualification can extend the useful life of a selected product. Volume, captured content, pricing and competition determine TI's realized revenue.

The owner-supplied IR recap describes broader AI exposure above 20%. The approximate gap between a 20% broad-AI illustration and 13% direct data-center exposure is a classification within existing industrial demand. The model assigns a 30% probability to that classification opportunity and adds zero consolidated revenue because the same test, measurement and energy sockets already sit in the reference vectors.

Management's $500-$1,000 TI content illustration for a humanoid supports a bounded robotics allocation. A100,000-250,000-unit illustration produces $50-$250 million gross revenue at those content limits. The central 100,000 units at $750, weighted 30%, allocate $22.5 million revenue and $12.375 million OP within the existing industrial path. Production-unit disclosure remains a gating uncertainty.

Disaggregated reference revenue

USD millions; modeled company revenue

Year	End-market vector	Reference revenue
2027	Industrial analog and embedded	8,800.00
2027	Automotive analog and embedded	7,550.00
2027	Data-center power and signal chain	4,800.00
2027	Personal electronics	3,450.00
2027	Communications equipment	750.00
2027	Calculators and other	160.00
2028	Industrial analog and embedded	9,680.00
2028	Automotive analog and embedded	8,154.00
2028	Data-center power and signal chain	6,240.00
2028	Personal electronics	3,519.00
2028	Communications equipment	810.00
2028	Calculators and other	160.00
2029	Industrial analog and embedded	10,454.40
2029	Automotive analog and embedded	8,724.78
2029	Data-center power and signal chain	7,488.00
2029	Personal electronics	3,589.38
2029	Communications equipment	858.60
2029	Calculators and other	160.00
2030	Industrial analog and embedded	11,186.21
2030	Automotive analog and embedded	9,248.27
2030	Data-center power and signal chain	8,611.20
2030	Personal electronics	3,661.17
2030	Communications equipment	901.53
2030	Calculators and other	160.00

The six reference vectors contain existing content growth and demand recovery. Incremental POWER800 receives a 50% overlap exclusion. Broader AI/robotics suballocations stay within the industrial and data-center vectors.

Sources: [S2], [S4], [S5].

The actual earnings anchor

TI reported Q3 revenue of $6.055 billion, gross profit of $3.887 billion, operating profit of $2.874 billion, net income of $2.425 billion and diluted EPS of $2.62. Quarter operating cash flow was $3.419 billion and cash capex was $463 million. These reported results form a separate current input bridge alongside the preserved pre-results forecasts.

For Q4, management guided revenue of $5.8-$6.3 billion and EPS of $2.45-$2.79. The model selects the $6.05 billion revenue midpoint. It takes Q3 gross profit, applies 80% incremental gross-profit fallthrough to the $5 million sequential revenue decline, and deducts the $19 million modeled increase in D&A. Selected gross profit is $3.864 billion.

Management described ordinary operating expenses as flat to slightly up. The model increases Q3 ordinary expense of $1.006 billion by approximately 1%, selecting $1.016 billion, and carries another $7 million of acquisition charges. Total Q4 expense is $1.023 billion and GAAP OP is $2.841 billion. This numerical expense selection is an analyst assumption within the qualitative guidance.

The published Q3 forecast revenue, OP and as-then rolling ceiling retain their original information vintage. The separate actuals table makes the difference visible. The Q4 book-EPS plausibility proxy is about $2.59; other income, debt-cost amortization and exact future tax timing remain outside that simplified proxy.

Reported Q3 results and the preserved pre-results forecast

USD millions; EPS USD

Metric	October7 forecast vintage	Q3 reported actual	Actual source
Revenue	5,904.68	6055	Q3 10-Q p2
Gross profit	3,669.97	3887	Q3 10-Q p2
Operating profit	2,627.73	2874	Q3 10-Q p2
Net income	Blank	2425	Q3 10-Q p2
Diluted EPS	Blank	2.62	Q3 10-Q pp2/8
Quarter operating cash flow	Blank	3419	Q3 issuer call
Quarter cash capex	Blank	463	Q3 issuer call

A blank prior-comparison field means that metric is outside this selected prior-table comparison. The reported actuals are a separate input bridge. Published Q3 forecast cells and their as-then ceiling remain frozen.

Selected current-quarter bridge

USD millions

Metric	Previous Q4 forecast	Selected Q4 forecast	Interpretation
Revenue	6,026.93	6,050.00	Issuer5800-6300 guide midpoint
Gross profit	3,772.24	3,864.00	Q3 actual base;80% fallthrough; DA adjustment
Operating expenses	1,044.85	1,023.00	1016 ordinary+7 deal charges
Operating profit	2,727.39	2,841.00	GP less all selected expenses
Cash capex	850	1247	2900 CY2026 less1653 YTD
Ordinary SBC cash-flow addback	130	100.00	Ordinary SBC stays in OP
Legacy principal payment	500	0.00	September500 repayment already in opening debt

Q4 ordinary expense 1016 is an analyst assumption of approximately 1% growth from Q3 ordinary expense 1006; issuer language was flat to slightly up. Acquisition expense 7 is separate. The selected whole-quarter weighted OP is 2841.

PART I - FINANCIAL INFORMATION

ITEM 1. Financial statements

Consolidated Statements of Income	For Three Months Ended September 30,		For Nine Months Ended September 30,	
(In millions, except per-share amounts)	2026	2025	2026	2025
Revenue	**$ 6,055**	$ 4,742	**$ 16,343**	$ 13,259
Cost of revenue (COR)	**2,168**	2,019	**6,305**	5,648
Gross profit	**3,887**	2,723	**10,038**	7,611
Research and development (R&D)	**530**	518	**1,575**	1,562
Selling, general and administrative (SG&A)	**476**	457	**1,430**	1,414
Acquisition charges	**7**	—	**41**	—
Restructuring charges/other	**—**	85	**—**	85
Operating profit	**2,874**	1,663	**6,992**	4,550
Other income (expense), net (OI&E)	**72**	62	**188**	190
Interest and debt expense	**141**	141	**423**	402
Income before income taxes	**2,805**	1,584	**6,757**	4,338
Provision for income taxes	**380**	220	**807**	500
Net income	**$ 2,425**	$ 1,364	**$ 5,950**	$ 3,838
Earnings per common share (EPS):				
Basic	**$ 2.64**	$ 1.49	**$ 6.49**	$ 4.20
Diluted	**$ 2.62**	$ 1.48	**$ 6.44**	$ 4.18
Average shares outstanding:				
Basic	**914**	909	**912**	909
Diluted	**921**	914	**918**	914

A portion of net income is allocated to unvested restricted stock units (RSUs) on which we pay dividend equivalents. Diluted EPS is calculated using the following:

Net income	**$ 2,425**	$ 1,364	**$ 5,950**	$ 3,838
Income allocated to RSUs	**(14)**	(8)	**(34)**	(21)
Income allocated to common stock for diluted EPS	**$ 2,411**	$ 1,356	**$ 5,916**	$ 3,817

See accompanying notes.

Q3 2026 reported income statement. Original issuer page; units and period labels remain visible.

Sources: [S1], [S2].

Manufacturing economics and qualified output

The 300mm advantage operates through more useful dies per wafer and efficient internal processes. TI's earlier issuer example reduced unpackaged chip cost from $0.20 to $0.12 on a $1 sale while retaining $0.20 of assembly, test and other cost. That example raises gross margin from 60% to 68%. The current product-margin paths already reflect improving manufacturing economics.

Qualified output depends on process steps, die size, yield, test time, packaging, utilization and customer acceptance. Cleanroom completion can shorten future construction lead times, while equipment installation and product qualifications still require spending and time.

Management's 75%-85% longer-run gross-profit fallthrough description excludes depreciation. The selected near-term bridge uses 80% and then explicitly adjusts D&A. Ordinary D&A and SBC remain embedded in operating costs. Cash flow adds each back once. Incremental capex sensitivities create new asset cohorts with a two-quarter lag and 20-quarter life, and their D&A reduces GP and OP.

Sources: [S2], [S4].

Qualified capacity and the next spending phase

The reported 2026 capital-spending range remains $2-$3 billion. The model selects $2.9 billion for the year. With $1.653 billion spent through September, Q4 cash capex becomes $1.247 billion. Back-end tool lead times and delivery logistics affect cash timing.

Core annual capex assumptions remain $4.6/$4.7/$4.3/$4.0 billion in 2027-2030. Conditional POWER800 equipment and acquired-business equipment add to those budgets. The 2027 amount is a model forecast; the selected source set contains no numeric issuer 2027 capital guide.

RFAB, Lehi, Sherman and the Malaysia back end support different transfers and products. Their usable capacity depends on equipment and qualification. Annual internal-sourcing and 300mm-mix goals provide direction, while absolute accepted-unit output and process yields remain undisclosed.

Sources: [S1], [S2], [S4].

Pricing and the qualified delivery advantage

The Q3 call described modest second-half pricing improvement and the normal 2027 annual customer-negotiation process. The IR recap repeats that underlying signal. The model retains 80% probability and treats these observations as one evidence group.

The 2027-2028 conditional case reprices 50% of eligible legacy invoices by 5%, producing a 2.5% uplift on the first five end-market vectors. The assumed premium is bounded at 2%-6%. Conditional uplift fades to 1.875% in 2029 and 1.25% in 2030 as negotiations and competing supply respond.

The model carries 90% incremental GP and 5% incremental applications, service and support expense, leaving 85% incremental OP. It excludes the separate incremental 800V wallet from legacy repricing. When the downturn case removes industrial or automotive units, an explicit PRICE/CYCLE interaction removes the corresponding repricing revenue and costs.

The Q4 revenue/GP calibration retains its fixed 80% calibration weight during probability sensitivities. Changing the active PRICE probability then changes state weights against the same calibrated operating inputs.

Sources: [S2], [S5].

800V chip content and qualification

Higher-voltage distribution can reduce current for a given power requirement. The resulting conversion, protection, sensing and control functions can enlarge TI's chip wallet. TI's demonstrated 800V-to 6V and 6V-to-sub 1V architectures establish an engineering opportunity with design, qualification and customer-capture conditions.

The full conditional path uses 2/4/6/8 million eligible power domains in 2027-2030 and $240/$360/$420/$450 captured TI content per domain. After a 50% overlap exclusion, additional annual sales are $240/$720/$1,260/$1,800 million. At 55% probability, the expected additions are $132/$396/$693/$990 million.

The same case includes 64% gross margin,10% engineering/support expense, annual conditional capex of $600/$900/$1,100/$1,200 million and D&A of $80/$200/$320/$400 million. Existing data-center reference revenue already reaches $4.8 billion in 2027 and grows to $8.6112 billion in 2030. The overlap deduction preserves that

shared power/signal-chain content.

Useful checkpoints are qualified platform sockets, shipped power-domain units, captured TI bill-of-material content, test yield and equipment availability. Alternative conversion architectures, competing parts and fewer intermediate stages can reduce the realized wallet. TI earns the value of its captured semiconductor content.

Sources: [S2], [S4].

Silicon Labs and exclusive transaction outcomes

The signed cash acquisition remains expected to close in the first half of 2027, subject to regulatory approval and other conditions. The selected model retains 75% probability of a Q2 2027 close with a half-quarter contribution,15% for a Q1 2028 close,7% regulatory failure in Q1 2028 and 3% another failure in Q2 2027.

The regulatory-failure case includes the selected $499 million reverse termination fee. The other-failure case assumes no merger-fee receipt or payment. Each transaction outcome crosses the three binary operating axes, producing 32 weighted company states. A separate REFERENCE path carries zero probability.

Silicon Labs contributes wireless hardware, software and protocols to TI's embedded portfolio. Its customer and product breadth can support manufacturing transfers and broader relationships. The model begins target revenue and costs only after each successful state closes. Existing target ordinary SBC remains part of GAAP operating expense.

Exclusive acquisition outcomes

Probability; modeled timing and USD millions

Outcome	Probability	Modeled event	Merger fee
On-time close	0.75	Q2 2027; half quarter contribution	0
Delayed close	0.15	Q1 2028; full quarter contribution	0
Regulatory failure	0.07	Q1 2028	499
Other failure	0.03	Q2 2027	0

Each outcome is crossed with the eight PRICE/POWER800/CYCLE combinations. The source agreement extensions and legal redemption conditions govern the event interpretation; quarter dates are model proxies.

Sources: [S2], [S4].

Fully expensed acquisition economics

Full-year target revenue assumptions are $1.080/$1.242/$1.4283/$1.642545 billion in 2027-2030. Ordinary annual target GAAP opex is $560/$600/$630/$660 million. The model realizes 70% of the announced $450 million annual cost-saving objective, or $315 million at maturity, across an eleven-quarter ramp. Sixty percent reduces gross costs and 40% reduces opex.

The selected provisional PPA charges $450 million annual amortization. Inventory step-up totals $100 million across the first two acquired quarters, integration expense totals $150 million across four quarters, and closing expense is $130 million. The closing expense contains $80 million of fees and $50 million of post-combination accelerated-award compensation. These costs remain in valuation OP.

The purchase-cash calculation uses the retained ordinary/award assumptions and target cash. It produces $7,520.522 million before modeled interim vesting, then adds $92.4 million in the on-time case or $184.8 million in the delayed case. The corresponding remaining converted awards flow into diluted shares. Final ordinary shares, vesting, closing VWAP, target cash and PPA remain uncertain.

PPA, inventory step-up and the selected closing tax addback receive explicit cash-tax treatment. The $130 million closing expense is added once in the cash reconciliation because the selected purchase payment already includes the related fee/award cash. Integration cash remains an operating use.

Sources: [S3], [S4].

Cash debt and acquisition funding

September reported cash and short-term investments total $8.142 billion. Face debt is $13.650 billion. The $500 million September maturity has already reduced opening debt, so the current Q4 path carries zero further payment of that maturity. The remaining legacy bond schedule follows each selected face amount and coupon.

The October 26 prospectus prices four $500 million fixed-rate notes, with total face $2 billion and expected net proceeds $1.987 billion on November 9. The annual coupons are 5.000%,5.350%,5.500% and 5.750%; maturities fall inNovember 2028,2031,2033 and 2036. May 9/November 9 coupon cash and accrued interest follow their dated legal schedules. The review treats settlement as a forward assumption.

The new notes form part of the existing $5 billion successful-close financing envelope. Successful states add $3 billion residual financing at an assumed 5.5% rate; the first-quarter charge uses a midpoint-quarter convention. The disclosed undrawn $5 billion delayed-draw facility remains contingent liquidity. Its automatic-reduction language and future renewal/replacement availability require further legal confirmation.

Failure states pay 101% of outstanding note face plus accrued interest under the selected special-mandatory-redemption event. The model uses explicit dated quarterly proxies, with a redemption date 60 days after the failure-quarter start. The $20 million premium and principal enter once. The source note amounts, net issuance fees and residual financing have separate lines.

The 32 selected state paths retain minimum cash of $6.074 billion, above the $3.5 billion reserve. Removing residual financing lowers minimum cash to $3.092 billion; removing all new financing lowers it to $1.150 billion. Lower debt can increase the mathematical common-share value in these diagnostics while creating a funding requirement. Adopting such a case would require a coherent replacement financing plan.

New note terms

USD millions; fixed annual coupon

Face	Coupon	Maturity	Selected issue date
500	5.000%	2028-11-09	2026-11-09
500	5.350%	2031-11-09	2026-11-09
500	5.500%	2033-11-09	2026-11-09
500	5.750%	2036-11-09	2026-11-09

Prospectus dated October 26; expected issue November 9 is forward as of this review. Face 2000, expected net proceeds 1987, discount/fees 13. Coupons are payable May 9/November 9. Special mandatory redemption is 101% plus accrued interest upon the contractual trigger.

Quarterly funding and liquidity envelope

USD millions; probability-weighted diagnostic displays

Quarter	CFO before awards	Capex	FCF with awards	Dividends	End cash	End face debt	End claims
Q4 2026	3,035.08	1,247.00	2,063.08	1,398.81	10,773.27	15,650.00	12,770.00
Q1 2027	3,028.54	1,232.50	2,071.04	1,469.55	11,354.76	15,650.00	12,770.00
Q2 2027	2,974.48	1,240.00	2,009.48	1,470.35	7,703.60	17,190.00	14,617.53
Q3 2027	3,251.90	1,247.50	2,279.40	1,471.15	8,491.86	17,190.00	14,333.67
Q4 2027	3,388.48	1,247.50	2,340.98	1,471.94	8,840.89	16,690.00	13,818.98
Q1 2028	3,367.58	1,316.75	2,250.83	1,546.38	7,978.14	16,300.00	13,461.08
Q2 2028	3,529.34	1,316.75	2,392.59	1,547.22	8,803.52	16,300.00	13,426.46
Q3 2028	3,829.14	1,316.75	2,668.39	1,548.05	9,903.85	16,300.00	13,420.00
Q4 2028	3,952.57	1,316.75	2,635.82	1,548.89	10,520.78	15,850.00	12,970.00
Q1 2029	3,907.73	1,244.25	2,663.48	1,627.22	10,887.05	15,200.00	12,320.00
Q2 2029	3,939.67	1,244.25	2,695.42	1,628.10	11,934.37	15,200.00	12,320.00
Q3 2029	4,261.57	1,244.25	3,017.32	1,628.98	13,302.71	15,200.00	12,320.00
Q4 2029	4,425.73	1,244.25	3,181.48	1,629.86	14,084.33	14,450.00	11,570.00
Q1 2030	4,316.44	1,183.00	3,133.44	1,712.27	14,735.51	13,700.00	10,820.00
Q2 2030	4,281.79	1,183.00	3,098.79	1,713.20	16,101.10	13,700.00	10,820.00
Q3 2030	4,631.71	1,183.00	3,448.71	1,714.12	17,815.68	13,700.00	10,820.00
Q4 2030	4,818.66	1,183.00	3,635.66	1,715.04	19,166.30	13,150.00	10,270.00

Each of 32 states has its own full funding sequence. Valuation uses the matching state financial claims; the probability-weighted liquidity display is a diagnostic.

Consolidated Balance Sheets (In millions, except par value)	September 30, 2026	December 31, 2025
Assets		
Current assets:		
Cash and cash equivalents	**$ 4,211**	$ 3,225
Short-term investments	**3,931**	1,656
Accounts receivable, net of allowances of ($27) and ($22)	**2,620**	1,963
Raw materials	**497**	465
Work in process	**2,482**	2,372
Finished goods	**1,693**	1,967
Inventories	**4,672**	4,804
Prepaid expenses and other current assets	**1,446**	2,102
Total current assets	**16,880**	13,750
Property, plant and equipment at cost	**18,072**	17,682
Accumulated depreciation	**(6,239)**	(5,362)
Property, plant and equipment	**11,833**	12,320
Goodwill	**4,330**	4,330
Deferred tax assets	**1,054**	967
Capitalized software licenses	**301**	238
Overfunded retirement plans	**320**	324
Other long-term assets	**2,121**	2,656
Total assets	**$ 36,839**	$ 34,585
Liabilities and stockholders' equity		
Current liabilities:		
Current portion of long-term debt	**$ 650**	$ 500
Accounts payable	**837**	756
Accrued compensation	**675**	829
Income taxes payable	**60**	67
Accrued expenses and other liabilities	**795**	1,007
Total current liabilities	**3,017**	3,159
Long-term debt	**12,905**	13,548
Underfunded retirement plans	**118**	124
Deferred tax liabilities	**62**	66
Other long-term liabilities	**1,552**	1,415
Total liabilities	**17,654**	18,312
Stockholders' equity:		
Preferred stock, $25 par value. Shares authorized – 10; none issued	**—**	—
Common stock, $1 par value. Shares authorized – 2,400; shares issued – 1,741	**1,741**	1,741
Paid-in capital	**5,202**	4,511
Retained earnings	**54,282**	52,236
Treasury common stock at cost		
Shares: September 30, 2026 – 827; December 31, 2025 – 834	**(41,955)**	(42,130)
Accumulated other comprehensive income (loss), net of taxes (AOCI)	**(85)**	(85)
Total stockholders' equity	**19,185**	16,273
Total liabilities and stockholders' equity	**$ 36,839**	$ 34,585

See accompanying notes.

September 30 2026 reported balance sheet. Original issuer page; units and period labels remain visible.

Long-term debt outstanding is as follows:

	September 30, 2026	December 31, 2025
Notes due 2026 at 1.125%	**$ —**	$ 500
Notes due 2027 at 4.60%	**650**	650
Notes due 2027 at 2.90%	**500**	500
Notes due 2028 at 4.60%	**700**	700
Notes due 2029 at 4.60%	**650**	650
Notes due 2029 at 2.25%	**750**	750
Notes due 2030 at 1.75%	**750**	750
Notes due 2030 at 4.50%	**550**	550
Notes due 2031 at 1.90%	**500**	500
Notes due 2032 at 3.65%	**400**	400
Notes due 2033 at 4.90%	**950**	950
Notes due 2034 at 4.85%	**600**	600
Notes due 2035 at 5.10%	**650**	650
Notes due 2039 at 3.875%	**750**	750
Notes due 2048 at 4.15%	**1,500**	1,500
Notes due 2051 at 2.70%	**500**	500
Notes due 2052 at 4.10%	**300**	300
Notes due 2053 at 5.00%	**650**	650
Notes due 2054 at 5.15%	**750**	750
Notes due 2063 at 5.05%	**1,550**	1,550
Total debt	**13,650**	14,150
Net unamortized discounts, premiums and issuance costs	**(95)**	(102)
Total debt, including net unamortized discounts, premiums and issuance costs	**13,555**	14,048
Current portion of long-term debt	**(650)**	(500)
Long-term debt	**$ 12,905**	$ 13,548

Interest and debt expense was $141 million for the third quarters of both 2026 and 2025, and $423 million and $402 million for the first nine months of 2026 and 2025, respectively. This is inclusive of amortized discounts, premiums and issuance and other related costs. Capitalized interest was $3 million for the third quarters of both 2026 and 2025, and $9 million for the first nine months of both 2026 and 2025.

September 30 2026 reported debt schedule. Original issuer page; units and period labels remain visible.

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The Offering

The summary below describes the principal terms of the Notes. Certain of the terms and conditions described below are subject to important limitations and exceptions. The "Description of the Notes" section of this prospectus supplement and the "Description of Debt Securities" section of the accompanying prospectus contain a more detailed description of the terms and conditions of the Notes.

Issuer	Texas Instruments Incorporated.
Securities Offered	$500,000,000 aggregate principal amount of the 5.000% Notes due 2028.
	$500,000,000 aggregate principal amount of the 5.350% Notes due 2031.
	$500,000,000 aggregate principal amount of the 5.500% Notes due 2033.
	$500,000,000 aggregate principal amount of the 5.750% Notes due 2036.
Maturity Date	November 9, 2028 for the 5.000% Notes due 2028.
	November 9, 2031 for the 5.350% Notes due 2031.
	November 9, 2033 for the 5.500% Notes due 2033.
	November 9, 2036 for the 5.750% Notes due 2036.
Original Issue Date	November 9, 2026
Interest Rate	Fixed rate of 5.000% for the 5.000% Notes due 2028.
	Fixed rate of 5.350% for the 5.350% Notes due 2031.
	Fixed rate of 5.500% for the 5.500% Notes due 2033.
	Fixed rate of 5.750% for the 5.750% Notes due 2036.
Interest Payment Dates	Each May 9 and November 9, beginning on May 9, 2027, and on the maturity date for the 2028 Notes.
	Each May 9 and November 9, beginning on May 9, 2027, and on the maturity date for the 2031 Notes.
	Each May 9 and November 9, beginning on May 9, 2027, and on the maturity date for the 2033 Notes.
	Each May 9 and November 9, beginning on May 9, 2027, and on the maturity date for the 2036 Notes.
Ranking	The Notes will be the senior unsecured obligations of Texas Instruments Incorporated and will rank equally with all of its existing and future senior indebtedness from time to time outstanding. All existing and future liabilities of subsidiaries of Texas Instruments Incorporated will be effectively senior to the Notes.

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October 26 2026 note offering terms; expected November 9 settlement. Original issuer page; units and period labels remain visible.

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USE OF PROCEEDS

We anticipate that we will receive net proceeds of approximately $1,987 million from this offering after underwriting discounts and other estimated expenses.

We intend to use the net proceeds of this offering to finance a portion of the approximately $7.5 billion purchase price for the Acquisition and to pay related fees and expenses. See "Summary—Pending Acquisition of Silicon Labs". The sale of the Notes is not conditioned upon the consummation of the Acquisition, which, if completed, will occur subsequent to the closing of the sale of the Notes. Pending the consummation of the Acquisition, we intend to invest the net proceeds of this offering in certificates of deposit, United States government securities and certain other interest-bearing securities.

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October 26 2026 prospectus use of proceeds. Original issuer page; units and period labels remain visible.

Unless Texas Instruments Incorporated defaults in payment of the redemption price, on and after the redemption date interest will cease to accrue on the Notes or portions thereof called for redemption. Installments of interest on Notes that are due and payable on interest payment dates falling on or prior to a redemption date will be payable on the interest payment date to the registered holders as of the close of business on the relevant record date as set forth in the Notes and the indenture.

No Sinking Fund

The Notes will not be entitled to any sinking fund.

Special Mandatory Redemption

If (i) the Acquisition is not consummated on or prior to the later of (x) February 4, 2027 (or, if the "Termination Date" under the Merger Agreement is automatically extended to August 4, 2027 or February 4, 2028 in accordance with the terms of the Merger Agreement, such extended date) and (y) the date that is five business days after any later date to which the parties to the Merger Agreement may agree to extend the "Termination Date" in the Merger Agreement (such later date, the "Special Mandatory Redemption End Date"), (ii) the Merger Agreement is terminated (other than in connection with the consummation of the Acquisition) or (iii) we determine (in which case we will notify the Trustee, in writing) that the Acquisition will not be consummated prior to the Special Mandatory Redemption End Date or at all (any of the events described in clause (i), (ii) or (iii), a "Special Mandatory Redemption Event"), we will be required to redeem (the "Special Mandatory Redemption") in whole and not in part the aggregate principal amount of the Notes of each series outstanding on the Special Mandatory Redemption Date (as defined below) at a redemption price, referred to as the "Special Mandatory Redemption Price," equal to 101% of the aggregate principal amount of the Notes of the applicable series plus accrued and unpaid interest, if any, to, but excluding, the Special Mandatory Redemption Date.

Upon the occurrence of a Special Mandatory Redemption Event, we will promptly (and in any event not more than five business days following such Special Mandatory Redemption Event) deliver written notice to the Trustee of the Special Mandatory Redemption Event and the date upon which such Notes will be redeemed (the "Special Mandatory Redemption Date," which date shall be no earlier than the fifth business day following the date of such notice and no later than 30 days following the occurrence of the Special Mandatory Redemption Event) together with a notice of Special Mandatory Redemption for the Trustee to deliver to each registered holder of the Notes to be redeemed. The Trustee will then promptly mail, or electronically deliver, according to the procedures of DTC, such notice of Special Mandatory Redemption to each registered holder of the Notes to be redeemed. No later than 10:00 a.m., New York City time, on the Special Mandatory Redemption Date, we will deposit with the Trustee funds sufficient to pay the Special Mandatory Redemption Price. If such deposit is made as provided above, on and after such Special Mandatory Redemption Date, interest will cease to accrue on the Notes to be redeemed.

For the avoidance of doubt, a failure by us to redeem all outstanding Notes of each series following the occurrence of a Special Mandatory Redemption Event in conformity with the provisions set forth under this "—Special Mandatory Redemption" section will constitute an event of default with respect to each series of Notes.

Upon the consummation of the Acquisition, the foregoing provisions regarding the Special Mandatory Redemption will cease to apply. There is no escrow account for, or security interest in, the proceeds of the offering for the benefit of the holders of the Notes.

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October 26 2026 prospectus special mandatory redemption. Original issuer page; units and period labels remain visible.

Sources: [S1], [S3].

Cash tax incentives and recurring capital uses

Q3 book-tax expense was $380 million and included a $10 million discrete benefit. The model carries a 13% Q4 book-tax proxy and 13.5% thereafter within management's 13%-14% 2027 book-rate range. The recurring cash-tax proxy remains 13.5% of positive OP after accrued interest and the selected acquisition tax addbacks. Paid-tax timing, liability movements and exact tax bases remain unresolved.

The existing CHIPS receivable is $2.136 billion. The forecast reserves $300 million and collects the remaining $1.836 billion over eight quarters. The $79 million Q3 investment-credit receipt is already in reported CFO and opening cash. Future newly earned credits are zero in the selected model.

Tables show CFO before the separate remaining-award collections, FCF after all cash capex, and FCF including those existing collections. This makes the incentive timing visible. Cash also pays ordinary dividends and $20 million quarterly withholding. The dividend begins at $1.52 in Q4 and assumes 5% annual increases. Discretionary repurchases and future equity issues contribute zero to the selected path.

Current annual operating and cash path

USD millions; forecasts

Year	Revenue	GAAP OP	Capex	CFO before incentive cash	FCF before incentive cash	FCF with existing awards
2027	26,284.63	11,484.11	4,967.50	12,643.40	7,675.90	8,700.90
2028	30,223.90	13,471.96	5,267.00	14,678.63	9,411.63	9,947.63
2029	33,269.19	15,253.84	4,977.00	16,534.70	11,557.70	11,557.70
2030	36,093.69	16,735.43	4,732.00	18,048.60	13,316.60	13,316.60

Future earned investment credits are zero. Collections of the existing earned receivable appear separately. Ordinary D&A and SBC are expensed in OP and each added once in the cash bridge.

Consolidated Statements of Cash Flows	For Nine Months Ended September 30,	
(In millions)	2026	2025
Cash flows from operating activities		
Net income	**$ 5,950**	$ 3,838
Adjustments to net income:		
Depreciation	**1,643**	1,381
Amortization of capitalized software	**63**	61
Stock compensation	**331**	338
Gains on sales of assets	**(13)**	—
Deferred taxes	**(92)**	(134)
Increase (decrease) from changes in:		
Accounts receivable	**(657)**	(343)
Inventories	**132**	(302)
Prepaid expenses and other current assets	**9**	2
Accounts payable and accrued expenses	**51**	57
Accrued compensation	**(170)**	(134)
Income taxes payable	**435**	168
Changes in funded status of retirement plans	**1**	(14)
Other	**(41)**	(19)
Cash flows from operating activities	**7,642**	4,899
Cash flows from investing activities		
Capital expenditures	**(1,653)**	(3,625)
Proceeds from U.S. CHIPS and Science Act (CHIPS Act) incentives	**1,104**	335
Proceeds from asset sales	**37**	1
Purchases of short-term investments	**(5,311)**	(2,644)
Proceeds from short-term investments	**3,078**	5,198
Other	**9**	(28)
Cash flows from investing activities	**(2,736)**	(763)
Cash flows from financing activities		
Proceeds from issuance of long-term debt	**—**	1,199
Repayment of debt	**(500)**	(750)
Dividends paid	**(3,884)**	(3,709)
Stock repurchases	**(233)**	(1,074)
Proceeds from common stock transactions	**770**	358
Other	**(73)**	(49)
Cash flows from financing activities	**(3,920)**	(4,025)
Net change in cash and cash equivalents	**986**	111
Cash and cash equivalents at beginning of period	**3,225**	3,200
Cash and cash equivalents at end of period	**$ 4,211**	$ 3,311
Supplemental cash flow information		
Investment tax credit (ITC) used to reduce income taxes payable	**$ 380**	$ 246
Proceeds from CHIPS Act incentives	**1,104**	335
Total cash benefit related to the CHIPS Act	**$ 1,484**	$ 581

See accompanying notes.

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Nine months through September 30 2026 reported cash flow. Original issuer page; units and period labels remain visible.

Sources: [S1], [S2].

Who owns the profit

The October 14 reported common count is 913.770316 million. Q3 EPS used 914 million weighted basic shares and 921 million weighted diluted shares, with $14 million of income allocated to participating RSUs. These measures have different dates and purposes.

The forward diluted count begins with reported common shares, adds 6 million participating-RSU equivalents and a 12 million option reserve, then grows by 0.5 million shares each quarter. Successful acquisition paths add their own converted target awards using the retained $288.98 conversion proxy. Cash-dividend shares include participating RSUs and exclude the option reserve.

Participating awards are captured through diluted ownership. OP therefore retains the selected operating earnings without a second income-allocation deduction. Ordinary SBC stays expensed. The active-window weighted end-share diagnostic rises from 935.703323 million to 936.225953 million, reflecting the updated dated common count.

TEXAS INSTRUMENTS INCORPORATED AND SUBSIDIARIES

Significant accounting policies and practices

Earnings per share (EPS)
We use the two-class method for calculating EPS because the restricted stock units (RSUs) we grant are participating securities containing nonforfeitable rights to receive dividend equivalents. Under the two-class method, a portion of net income is allocated to RSUs and excluded from the calculation of income allocated to common stock.

Computation and reconciliation of earnings per common share are as follows:

	For Three Months Ended September 30,					
	2026			2025		
	Net Income	Shares	EPS	Net Income	Shares	EPS
Basic EPS:						
Net income	**$ 2,425**			$ 1,364		
Income allocated to RSUs	**(14)**			(8)		
Income allocated to common stock	**$ 2,411**	**914**	**$ 2.64**	$ 1,356	909	$ 1.49
Dilutive effect of stock compensation plans		**7**			5	
Diluted EPS:						
Net income	**$ 2,425**			$ 1,364		
Income allocated to RSUs	**(14)**			(8)		
Income allocated to common stock	**$ 2,411**	**921**	**$ 2.62**	$ 1,356	914	$ 1.48

	For Nine Months Ended September 30,					
	2026			2025		
	Net Income	Shares	EPS	Net Income	Shares	EPS
Basic EPS:						
Net income	**$ 5,950**			$ 3,838		
Income allocated to RSUs	**(34)**			(21)		
Income allocated to common stock	**$ 5,916**	**912**	**$ 6.49**	$ 3,817	909	$ 4.20
Dilutive effect of stock compensation plans		**6**			5	
Diluted EPS:						
Net income	**$ 5,950**			$ 3,838		
Income allocated to RSUs	**(34)**			(21)		
Income allocated to common stock	**$ 5,916**	**918**	**$ 6.44**	$ 3,817	914	$ 4.18

Potentially dilutive securities excluded from the computation of diluted earnings per common share during the third quarter of 2026 were not material. Potentially dilutive securities representing 4 million shares of common stock that were outstanding during the third quarter of 2025, and 2 million and 10 million shares outstanding during the first nine months of 2026 and 2025, respectively, were excluded from the computation of diluted earnings per common share during these periods because their effect would have been anti-dilutive.

Derivatives and hedging
We use derivative financial instruments to manage exposure to foreign exchange risk. These instruments are primarily forward foreign currency exchange contracts, which are used as economic hedges to reduce the earnings impact that exchange rate fluctuations may have on our non-U.S. dollar net balance sheet exposures. Gains and losses from changes in the fair value of these forward foreign currency exchange contracts are credited or charged to OI&E. We do not apply hedge accounting to our foreign currency derivative instruments.

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EPS and participating-award accounting. Original issuer page; units and period labels remain visible.

Sources: [S1], [S4].

The operating path and the complete ceiling

The selected 2027-2030 operating forecasts retain the strong industrial recovery, automotive content and data-center expansion already present in the model. Annual expected revenue rises from $26.285 billion in 2027 to $36.094 billion in 2030; fully expensed OP rises from $11.484 billion to $16.735 billion. These long-range values

remain company-specific scenario forecasts.

The current model has 17 financial quarters from Q4 2026 through Q4 2030. Fourteen have a complete quarter-plus-next-three earnings window. Q2-Q4 2030 retain their financial paths and 20x controls; their incomplete-window targets stay blank.

For each state, the ceiling is max[0,(20 x four-quarter GAAP OP minus matched end claims)/matched end diluted shares]. Probability weighting follows that common-equity floor. This same rule governs every complete quarter, all 32 operating/deal combinations, and every bounded sensitivity.

Complete current quarterly operating path

USD millions and millions of shares; forecasts

Quarter	Revenue	GP	Opex	GAAP OP	D&A	SBC	Current diluted shares
Q4 2026	6,050.00	3,864.00	1,023.00	2,841.00	595.00	100.00	932.27
Q1 2027	6,036.77	3,845.54	1,139.76	2,705.79	661.00	140.00	932.77
Q2 2027	6,405.52	4,041.29	1,365.06	2,676.23	744.44	147.50	933.69
Q3 2027	7,046.78	4,451.09	1,346.55	3,104.54	790.38	155.00	934.19
Q4 2027	6,795.56	4,331.95	1,334.41	2,997.55	752.88	155.00	934.69
Q1 2028	7,049.16	4,506.15	1,527.68	2,978.48	845.25	168.00	935.23
Q2 2028	7,387.03	4,725.95	1,452.95	3,272.99	845.25	168.00	935.73
Q3 2028	8,023.19	5,143.82	1,452.23	3,691.59	837.75	168.00	936.23
Q4 2028	7,764.51	4,982.45	1,453.54	3,528.91	837.75	168.00	936.73
Q1 2029	7,724.70	4,968.34	1,533.36	3,434.98	889.25	178.00	937.23
Q2 2029	8,119.77	5,225.02	1,537.72	3,687.30	889.25	178.00	937.73
Q3 2029	8,840.59	5,690.16	1,542.09	4,148.07	889.25	178.00	938.23
Q4 2029	8,584.13	5,529.92	1,546.43	3,983.48	889.25	178.00	938.73
Q1 2030	8,348.37	5,376.32	1,610.91	3,765.42	925.25	188.00	939.23
Q2 2030	8,798.40	5,664.68	1,620.31	4,044.38	925.25	188.00	939.73
Q3 2030	9,599.48	6,177.40	1,629.64	4,547.77	925.25	188.00	940.23
Q4 2030	9,347.44	6,017.05	1,639.18	4,377.87	925.25	188.00	940.73

All 17 quarters carry operating, capital, cash and share paths. Forecasts for Q2-Q4 2030 remain financial inputs to earlier complete windows.

Complete current ceiling path

USD per diluted common share; F4Q OP USD millions

Quarter	Window through	F4Q GAAP OP	Multiple	End-share diagnostic	Ceiling	Status
Q4 2026	Q3 2027	11,327.56	20	934.19	227.17	Complete F4Q
Q1 2027	Q4 2027	11,484.11	20	934.69	230.95	Complete F4Q
Q2 2027	Q1 2028	11,756.80	20	935.23	237.03	Complete F4Q
Q3 2027	Q2 2028	12,353.56	20	935.73	249.69	Complete F4Q
Q4 2027	Q3 2028	12,940.61	20	936.23	262.11	Complete F4Q
Q1 2028	Q4 2028	13,471.96	20	936.73	273.79	Complete F4Q
Q2 2028	Q1 2029	13,928.46	20	937.23	284.08	Complete F4Q
Q3 2028	Q2 2029	14,342.77	20	937.73	292.77	Complete F4Q
Q4 2028	Q3 2029	14,799.26	20	938.23	302.34	Complete F4Q
Q1 2029	Q4 2029	15,253.84	20	938.73	312.67	Complete F4Q
Q2 2029	Q1 2030	15,584.27	20	939.23	320.33	Complete F4Q
Q3 2029	Q2 2030	15,941.35	20	939.73	327.76	Complete F4Q
Q4 2029	Q3 2030	16,341.04	20	940.23	336.09	Complete F4Q
Q1 2030	Q4 2030	16,735.43	20	940.73	344.88	Complete F4Q
Q2 2030	Blank	Blank	20	Blank	Blank	Unavailable
Q3 2030	Blank	Blank	20	Blank	Blank	Unavailable
Q4 2030	Blank	Blank	20	Blank	Blank	Unavailable

All 17 multiple controls remain 20. The three unavailable target/F4Q outputs retain actual blank semantics. Earlier Q3 forecast and as-then rolling ceiling remain 214.42140151539056 in published Excel history.

All active-window state values

OP/claims USD millions; shares millions; value USD/share

State	Probability	F4Q OP	End claims	End shares	Floored value	Weighted value
REFERENCE	0.000000	12,908.38	8920	935.77	266.36	0.00
ON_TIME_000	0.050625	12,663.04	13920	936.33	255.62	12.94
ON_TIME_001	0.016875	11,532.77	13920	936.33	231.47	3.91
ON_TIME_010	0.061875	12,948.16	13920	936.33	261.71	16.19
ON_TIME_011	0.020625	11,817.89	13920	936.33	237.56	4.90
ON_TIME_100	0.202500	13,250.06	13920	936.33	268.15	54.30
ON_TIME_101	0.067500	12,085.48	13920	936.33	243.28	16.42

State	Probability	F4Q OP	End claims	End shares	Floored value	Weighted value
ON_TIME_110	0.247500	13,535.18	13920	936.33	274.24	67.88
ON_TIME_111	0.082500	12,370.60	13920	936.33	249.37	20.57
DELAY_000	0.010125	12,344.04	13920	936.01	248.89	2.52
DELAY_001	0.003375	11,213.77	13920	936.01	224.74	0.76
DELAY_010	0.012375	12,629.16	13920	936.01	254.98	3.16
DELAY_011	0.004125	11,498.89	13920	936.01	230.83	0.95
DELAY_100	0.040500	12,931.06	13920	936.01	261.43	10.59
DELAY_101	0.013500	11,766.48	13920	936.01	236.55	3.19
DELAY_110	0.049500	13,216.18	13920	936.01	267.52	13.24
DELAY_111	0.016500	12,051.60	13920	936.01	242.64	4.00
REG_FAIL_000	0.004725	12,392.38	8920	935.77	255.33	1.21
REG_FAIL_001	0.001575	11,262.11	8920	935.77	231.17	0.36
REG_FAIL_010	0.005775	12,677.50	8920	935.77	261.42	1.51
REG_FAIL_011	0.001925	11,547.23	8920	935.77	237.26	0.46
REG_FAIL_100	0.018900	12,979.40	8920	935.77	267.87	5.06
REG_FAIL_101	0.006300	11,814.82	8920	935.77	242.98	1.53
REG_FAIL_110	0.023100	13,264.52	8920	935.77	273.97	6.33
REG_FAIL_111	0.007700	12,099.94	8920	935.77	249.08	1.92
OTHER_FAIL_000	0.002025	12,908.38	8920	935.77	266.36	0.54
OTHER_FAIL_001	0.000675	11,778.11	8920	935.77	242.20	0.16
OTHER_FAIL_010	0.002475	13,193.50	8920	935.77	272.45	0.67
OTHER_FAIL_011	0.000825	12,063.23	8920	935.77	248.29	0.20
OTHER_FAIL_100	0.008100	13,495.40	8920	935.77	278.90	2.26
OTHER_FAIL_101	0.002700	12,330.82	8920	935.77	254.01	0.69
OTHER_FAIL_110	0.009900	13,780.52	8920	935.77	285.00	2.82
OTHER_FAIL_111	0.003300	12,615.94	8920	935.77	260.11	0.86

REFERENCE is retained with zero weight. The 32 weighted combinations are mutually exhaustive under the selected event/deal probability law. Sum of weighted values equals 262.1077130158191.

Sources: [S1], [S2], [S3].

Counter evidence and next checkpoints

Industrial recovery can contain replenishment that slows after customers restore inventory. The 25% cycle state removes 12% of reference industrial sales and 6% of automotive sales, with 75% lost gross profit and 5% saved

expense. Failed incremental 800V adoption is already represented by its 45% nonachievement mass.

Pricing can weaken as TI and competitors bring qualified supply online. The model fades its repricing benefit and retains a bounded eligible invoice pool. Realized renewals, lead times, customer sell-through and shipment mix provide the next evidence.

Manufacturing stress of 20% on all-in COGS lowers the active ceiling to about $216.23 and minimum cash to $3.319 billion. A20% capex increase, with linked depreciation cohorts, produces about $257.17 and minimum cash of $4.630 billion. These sensitivities show how delivery economics and equipment timing affect both earnings and funding.

The next consequential events are 2027 annual pricing renewals, the capital-management update, demonstrated high-voltage shipments, equipment arrivals and qualification, regulatory approvals, actual note settlement, residual financing, and the closing cap table/PPA. Book-versus-cash tax and realized incentive collections remain explicit reconciliation items.

Bounded financial sensitivities

USD/share ceiling; USD millions minimum state cash

Diagnostic	Q4 2027 ceiling	Minimum state cash	Liquidity condition
PRICE_p0	252.22	6,074.19	At or above3500 reserve
PRICE_p1	264.58	6,074.19	At or above3500 reserve
POWER800_p0	258.76	6,074.19	At or above3500 reserve
POWER800_p1	264.85	6,074.19	At or above3500 reserve
CYCLE_p0	268.29	6,074.19	At or above3500 reserve
CYCLE_p1	243.56	6,074.19	At or above3500 reserve
manufacturing_cost_plus20pct	216.23	3,318.64	Below3500 reserve
capex_plus20pct_live_asset_cohorts	257.17	4,630.48	At or above3500 reserve
no_residual_close_financing	264.60	3,092.04	Below3500 reserve
no_new_financing	265.00	1,149.64	Below3500 reserve
cash_tax_17pct	262.10	5,652.83	At or above3500 reserve
no_existing_CHIPS_cash	262.00	4,686.62	At or above3500 reserve

One parameter set changes at a time. Cases that remove financing can show a higher arithmetic ceiling while falling below the selected liquidity reserve; funding must be resolved within those cases before adoption. Every case retains 20x. These are operating/cash diagnostics, with saved-workbook recalculation, perturbation and restoration checks completed.

Sources: [S1], [S2], [S3].

Framework score and research limits

The score remains 45/60, giving analytical Base 75 and Excel Base 75. New evidence advances the existing pricing, qualified-capacity and recovery catalysts. The chosen qualification, cyclicality, integration and financing risk classes remain appropriate under the current framework review.

The latest two issuer-hosted management-call transcripts, including prepared remarks and Q&A, are covered by the verified source-read chain. The Q3 transcript is an issuer-hosted LSEG edited transcript. The 45-page 10-Q and 61-page prospectus are saved in full; the financial-statement, claims, liquidity and legal-term reads are scoped to the

recorded pages.

The undated attributed IR crop has an unresolved publisher/date. Its pricing and broader-AI statements are reconciled with the issuer evidence and existing revenue vectors. Its quoted broker target and earnings multiple have zero financial-input authority. Source gaps include precise pricing eligibility, absolute qualified capacity, robot production units, final acquisition awards/PPA and closing financing availability.

Framework score arithmetic

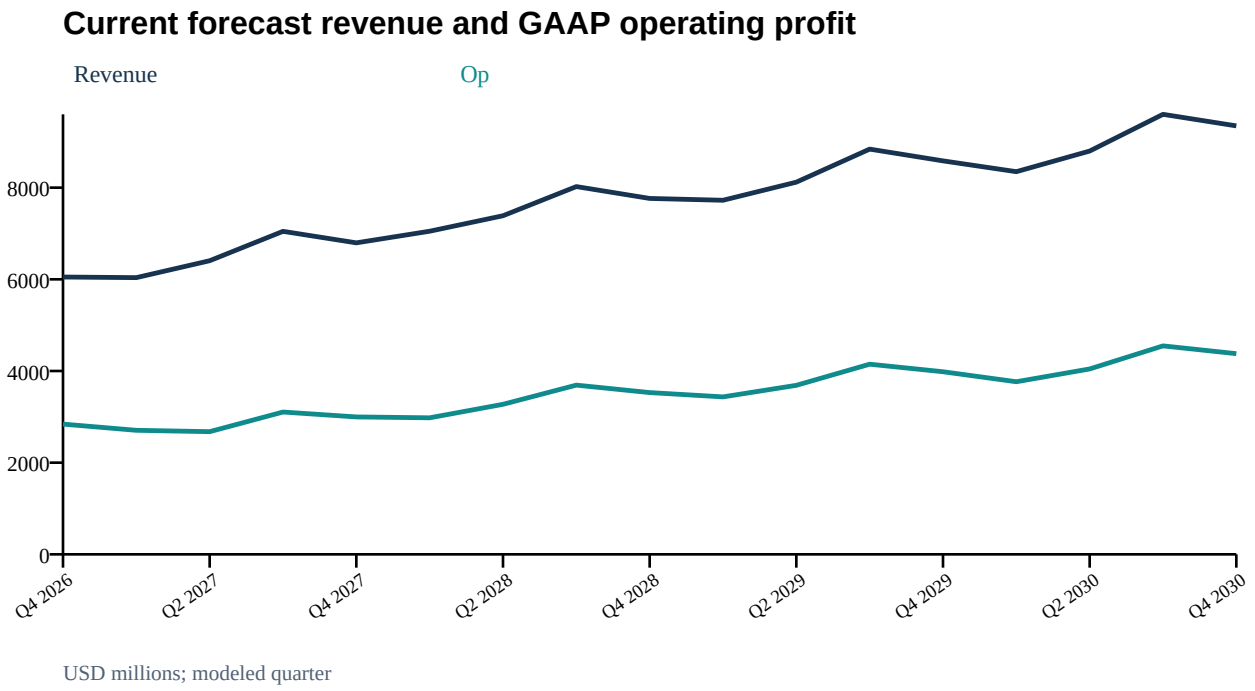
Framework points;45/60 gives 75/100

Component	Points	Current reason
Core thesis	17	Cost, channel and qualified supply advantages with diverse long-lived analog sockets.
Cycle	8	Industrial surpassed the2022 peak while content and DC demand grow; source identifies secular and cyclical contributions.
TAM	8	Per-system analog content and power conversion grow; no whole-rack TAM assignment.
Catalysts	4	2027 annual pricing renewals, tool installation, updated capital plan and regulatory/financing milestones; Q3 results are now reported.
Macro	7	Industrial/auto/geopolitical cyclicality offsets structural AI and manufacturing localization.
Alpha	4	Usable capacity and GAAP acquisition costs differ from a simple low-capex or AI multiple thesis.
Risk class	-3	Large cash deal, regulation, inventory and uncertain pricing duration.

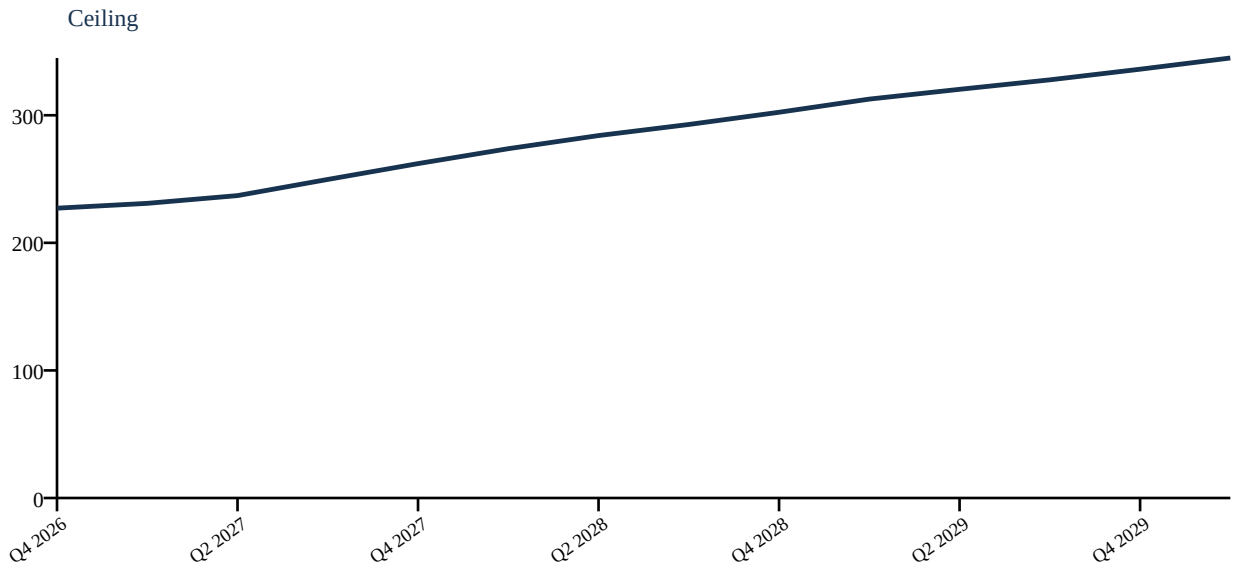
Analytical Base 75 and Excel Base 75 remain unchanged. Quality score and the 20x per-state operating valuation have separate economic roles.

Sources: [S1], [S2], [S3], [S5].

Current model charts

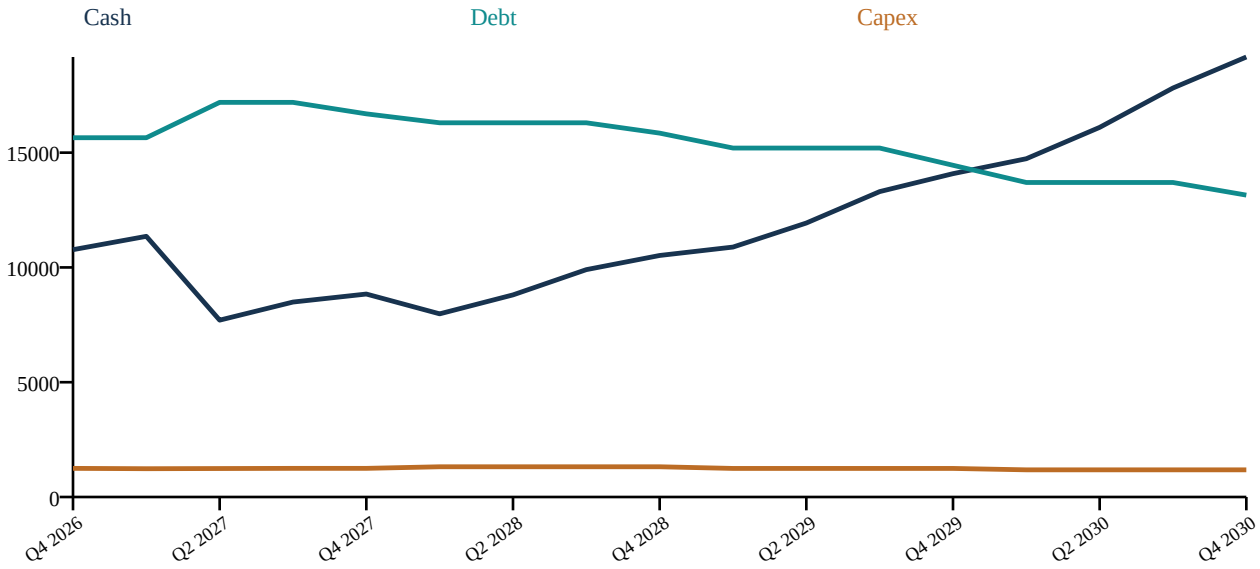


Current state-first ceiling path



USD per diluted common share

Current cash debt and capital path



USD millions; probability-weighted diagnostics

Source register

[S1] TI Q3 2026 Form 10-Q and reported results. Quarter ended 2026-09-30; results 2026-10-21.

https://investor.ti.com/static-files/b862a18d-c3ee-4f08-ba4d-583019cdd4f8

[S2] TI Q3 2026 earnings call transcript. 2026-10-21.

https://investor.ti.com/static-files/b012c095-ee25-4280-970f-728ceed4af7b

All 16 pages; prepared remarks, Q&A, closing/disclaimer; verified read reused

[S3] TI priced notes prospectus supplement. 2026-10-26; expected issue 2026-11-09.

https://investor.ti.com/static-files/07bc68b8-6bd6-4b7a-bac3-dcdf99335e2f

[S4] Prior verified TI source register and full analysis. Original research 2026-10-07; source dates within register.

Full historical source sections and original 18 embedded source/model images remain preserved in the dated appendix. Q2 call full verified read reused.

[S5] Owner-supplied attributed IR recap crop. Publisher/date unresolved in original crop.

Context only; operational statements reconciled against issuer evidence and existing vectors; broker target/multiple excluded

Model conventions and verification

The linked technical workbook preserves the full original TXN model and its historical cells. Four current sheets expose the operating inputs, conditional states, debt and cash schedules, and current valuations. The main portfolio workbook has one visible Master Portfolio sheet.

The saved file was recalculated with the bundled ArtifactTool engine. Independent financial arithmetic and native-file checks cover the selected forecasts. Microsoft Excel Desktop execution has separate verification status.

Historical appendix | 7 October 2026

The following 38 pages preserve the earlier complete analysis, source exhibits and forward forecasts. Current-quarter and future estimates for this review appear in the November 6 section above. Published earlier-quarter forecasts retain their original information vintage.

Texas Instruments

TXN | NASDAQ | 2026-10-07

Q4 2027 model ceiling: USD 262.24

Analytical Base 45/60 = 75 | Qualified analog supply, industrial recovery and expanding power content

20x quarter-plus-next-three fully expensed GAAP operating profit, less matched end-window debt/pension/deferred-compensation claims and capped cash credit, divided by matched diluted shares. Common floor within each state before probability weights.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 288.98 per share (2026-10-07 close); 913.248 million common shares (2026-07-15); estimated equity capitalization USD 263,910.3 million. Dated market price multiplied by latest reported actual common shares across the stated dates; forecast diluted shares are excluded from market capitalization. This dated common-share snapshot is separate from forecast diluted shares.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	12,940.6	20x	935.703	262.24

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

TI consolidated common equity; no external minority claim identified. Model end-window face debt plus123m underfunded pension and500m deferred compensation, less cash beyond3500m reserve capped at3501m. USGAAP rent remains fully expensed, so operating lease liabilities are not subtracted a second time. No credit for excess futurecash, pension surplus or speculative asset values.. 20x quarter-plus-next-three fully expensed GAAP operating profit, less matched end-window debt/pension/deferred-compensation claims and capped cash credit, divided by matched diluted shares. Common floor within each state before probability weights.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Thesis

Research date: October 7, 2026. USD millions unless stated otherwise. Calendar-year reporting. The financial model starts in Q3 2026, which is an estimate; TI has scheduled those results for October 21. This is research coverage, not a declaration of portfolio ownership.

The investment case

TI has already paid for much of the difficult construction needed to support a larger analog and embedded business. Its immediate commercial advantage is the ability to ship a qualified chip while a customer's line would otherwise wait. Its longer opportunity is to sell more power, control and sensing content into industrial equipment, vehicles and data centers. Neither opportunity requires TI to capture the price of a whole server, vehicle or electrical cabinet.

The evidence is improving: Q2 revenue grew 23%, industrial demand broadened, data-center revenue approximately doubled, and management moved from discussing price increases to executing them. The model gives that pricing evidence an 80% probability on a bounded eligible pool. An additional 55% branch captures new 800V-related chip content after a 50% overlap deduction. A 25% industrial/auto downturn branch remains active.

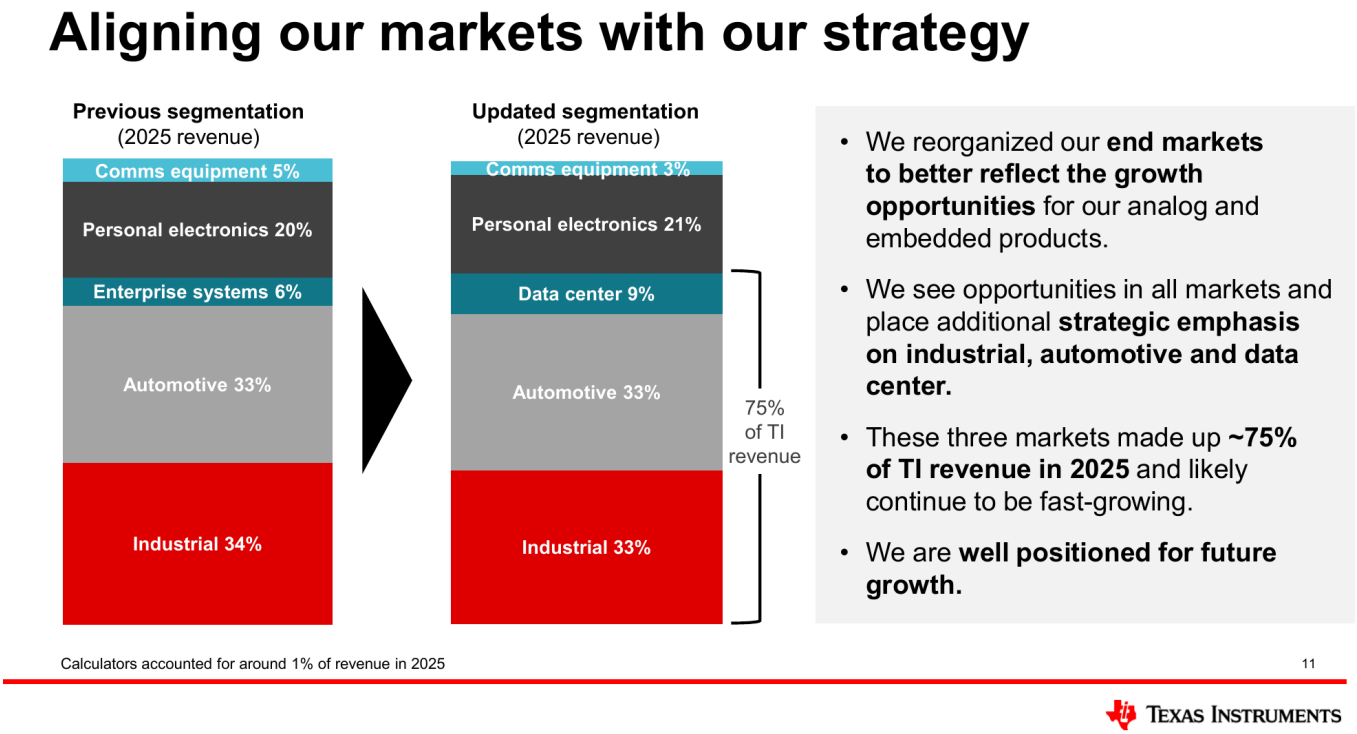
Silicon Labs changes the economics. The proposed cash acquisition expands wireless connectivity and offers a manufacturing transfer opportunity, but the purchase price, financing, purchase-accounting amortization, employee awards and integration must accompany its revenue. This model retains those costs in GAAP operating profit. Its initial valuation contribution is consequently less attractive than an analysis that capitalizes target sales and immediately applies the full announced synergy target.

The analytical Base is **75/100, or 45/60** under the framework rubric. The active Q4 2027 ceiling is **USD 262.24**, calculated from Q4 2027 through Q3 2028 at 20x fully expensed operating profit. It is a conditional operating valuation, not an analyst price target or a guaranteed trading price.

The revenue base: analog across real end markets

The 2025 business generated $17.682 billion of sales. Its reported segments were Analog ($14.01 billion), Embedded Processing ($2.70 billion) and Other ($979 million). Those product segments are different from end markets. The newly aligned end-market mix was approximately 33% industrial, 33% automotive, 9% data center, 21% personal electronics, 3% communications and 1% calculators. Historical enterprise-systems and communications categories cannot simply be compared with the new data-center category without that reclassification.

TI sells more than 80,000 products to more than 100,000 customers; about half its revenue comes from outside the largest 50 customers. More than 80% of 2025 sales were direct, including TI.com. That breadth reduces dependence on one hyperscaler or automobile program, but it does not remove semiconductor inventory cycles. A large catalog also requires inventory, applications engineers and a geographically extensive service organization.



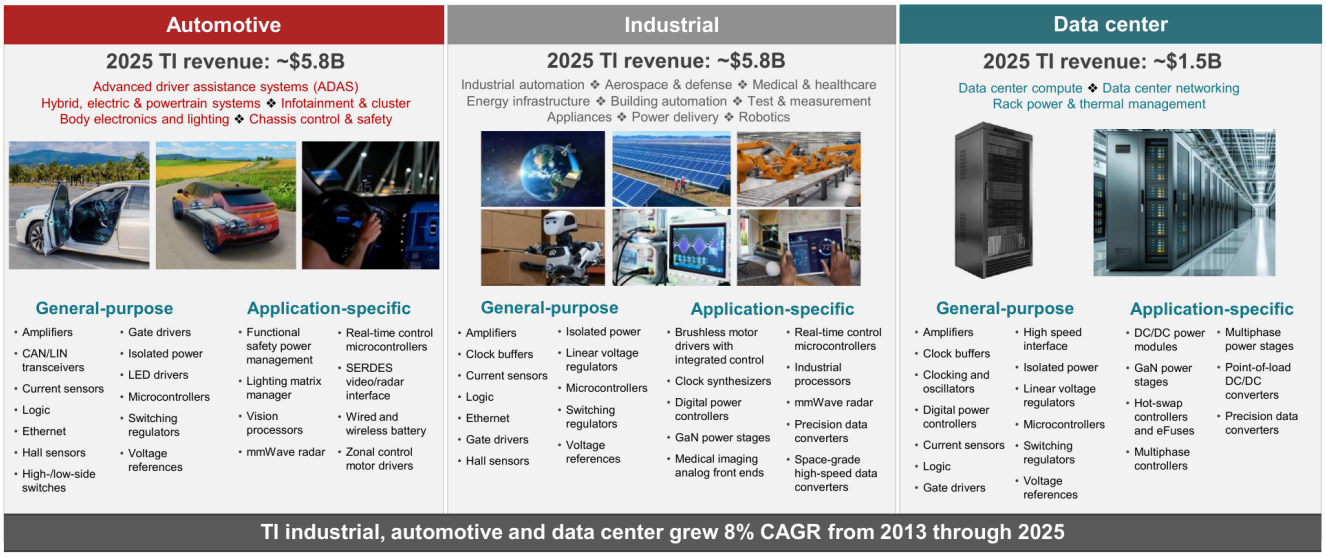
Original issuer exhibit: capital deck.pdf, PDF page 11. Source facts and plans; model assumptions are separately identified.

Why more semiconductor content matters

Analog chips connect digital computation to voltages, current, temperature, motion and the physical world. Power chips switch, protect and convert electricity; signal-chain products measure and condition signals. Embedded processors execute the control software. A factory robot, electric vehicle and server power train can each use multiple TI products, but the product counts and prices are different.

Automotive content grows through electrification, advanced driver assistance, zonal electronics and improved sensing. Industrial content grows through automation, power delivery, medical equipment, test and measurement and energy infrastructure. Customer software and lengthy design qualification can make a selected microcontroller difficult to replace after production begins. These are switching costs, not a contractual monopoly. New systems and redesigns remain competitive.

The model separates six end-market sales vectors. It does not present its quarterly allocations as company disclosures. The disclosed Analog/Embedded/Other segment results anchor total sales, gross profit and expenses; management's end-market growth descriptions inform the allocations. Calculators are a small end-market residual, not the whole reported Other segment, which also contains DLP and custom ASIC activity.



Original issuer exhibit: capital deck.pdf, PDF page 12. Source facts and plans; model assumptions are separately identified.

The actual earnings anchor

Q2 2026 sales were $5,463 million, gross profit $3,352 million and GAAP operating profit $2,310 million. Gross margin was 61.36% and operating margin 42.28%. Expenses included $535 million of R&D, $490 million of SG&A and $17 million of acquisition charges. Net income of $1,980 million produced $2.14 diluted common EPS after participating-award allocation. The approximately five-cent discrete tax benefit is not capitalized as recurring operating profit.

H1 sales were $10,288 million, gross profit $6,151 million and operating profit $4,118 million. Operating cash flow was $4,223 million, gross capex $1,190 million, D&A $1,130 million and SBC $236 million. For comparison, 2025 sales were $17,682 million, operating profit $6,023 million, operating cash flow $7,153 million, gross capex $4,550 million and SBC $419 million.

The April 22 and July 22 management discussions were read in full, including Q&A. April showed an industrial recovery that remained well below the 2022 peak and warned that 2025 had produced a false start. July described stronger breadth, industrial sales still roughly 5-6% below the old peak, improving loadings and customer-by-customer pricing execution. These are related observations in one recovery, not independent revenue shocks.

The Q3 reference is $5,900 million of sales, $3,665.75 million of gross profit and $1,042 million of expenses. It is consistent with the issuer's $5.65-6.15 billion revenue guidance and $2.23-2.57 EPS range when normal interest/other-income and tax assumptions are applied. The small incremental Q3 pricing branch is deliberately consistent with management's comment that pricing was almost insignificant in that quarter's guide. No future quarterly result is labeled as reported.

TEXAS INSTRUMENTS INCORPORATED AND SUBSIDIARIES

PART I - FINANCIAL INFORMATION

ITEM 1. Financial statements

Consolidated Statements of Income

(In millions, except per-share amounts)	For Three Months Ended June 30, 2026	2025	For Six Months Ended June 30, 2026	2025
Revenue	**$ 5,463**	$ 4,448	**$ 10,288**	$ 8,517
Cost of revenue (COR)	**2,111**	1,873	**4,137**	3,629
Gross profit	**3,352**	2,575	**6,151**	4,888
Research and development (R&D)	**535**	527	**1,045**	1,044
Selling, general and administrative (SG&A)	**490**	485	**954**	957
Acquisition charges	**17**	—	**34**	—
Operating profit	**2,310**	1,563	**4,118**	2,887
Other income (expense), net (OI&E)	**69**	48	**116**	128
Interest and debt expense	**141**	133	**282**	261
Income before income taxes	**2,238**	1,478	**3,952**	2,754
Provision for income taxes	**258**	183	**427**	280
Net income	**$ 1,980**	$ 1,295	**$ 3,525**	$ 2,474
Earnings per common share (EPS):				
Basic	**$ 2.16**	$ 1.42	**$ 3.85**	$ 2.71
Diluted	**$ 2.14**	$ 1.41	**$ 3.82**	$ 2.69
Average shares outstanding:				
Basic	**912**	908	**911**	909
Diluted	**920**	912	**917**	914

A portion of net income is allocated to unvested restricted stock units (RSUs) on which we pay dividend equivalents. Diluted EPS is calculated using the following:

Net income	**$ 1,980**	$ 1,295	**$ 3,525**	$ 2,474
Income allocated to RSUs	**(11)**	(7)	**(20)**	(13)
Income allocated to common stock for diluted EPS	**$ 1,969**	$ 1,288	**$ 3,505**	$ 2,461

See accompanying notes.

2

Original issuer exhibit: q2 10q.pdf, PDF page 2. Source facts and plans; model assumptions are separately identified.

Manufacturing economics: wafer cost is not total cost

TI's 300mm claim is that unpackaged chip cost can be about 40% below the equivalent chip on 200mm. It is not a 40% reduction in the entire cost of goods sold. Its own example has a $1 sale price, chip cost declining from $0.20 to $0.12, and assembly/test/other costs remaining $0.20. Total cost falls from $0.40 to $0.32 and gross margin rises from 60% to 68%.

The mechanism is more good dies per wafer and efficient internal processes. Actual economics also depend on die size, edge loss, defect yield, mask steps, test time, package complexity, utilization and depreciation. Empty cleanroom space produces no qualified chips. New production has to meet electrical, reliability and customer requirements; material and equipment spending can precede revenue by multiple quarters.

The model's reference gross margins are already higher than the recent trough because volume and mix absorb existing factory costs. It therefore does not add a second blanket 300mm uplift. Data-center gross margin starts near the corporate average, following the specific July Q&A answer. It is not assigned an exceptional AI margin simply because the chips end up near a GPU.

Chip cost is ~40% less on 300mm

Illustration of the GPM impact from 300mm

		Built on 200mm wafer	Built on 300mm wafer
Sales price of example part		$1.00	$1.00
Cost of goods:	Chip cost	$0.20	$0.12
	Assembly, test, other	$0.20	$0.20
	Total	$0.40	$0.32
Gross margin %		60%	68%

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TEXAS INSTRUMENTS

Original issuer exhibit: capital deck.pdf, PDF page 17. Source facts and plans; model assumptions are separately identified.

Qualified capacity and the next spending phase

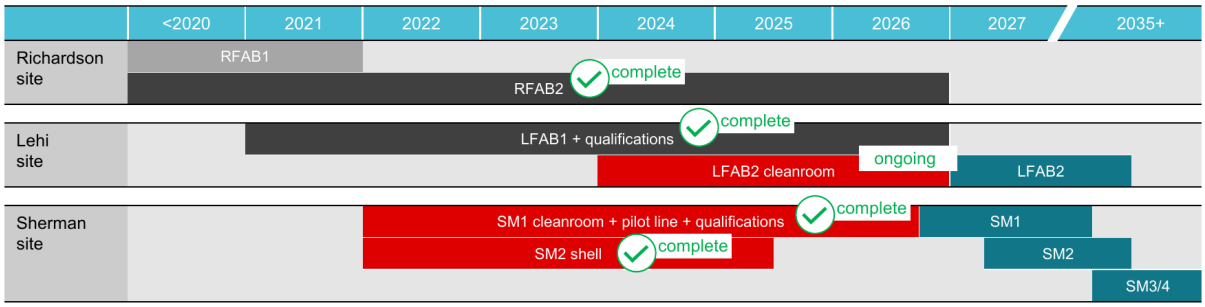
RFAB2 in Richardson, the Lehi fabs and Sherman provide different kinds of capacity. Richardson supports transfers from older 150mm production and incremental growth. Lehi supports foundry transfers in processes including 28-65nm. Sherman has completed cleanroom and pilot-line work, while a second shell removes some construction lead time. The source slides distinguish completed preparation from ongoing equipment installation and qualifications.

Management said its cleanroom position was good for roughly the next three years, while still requiring equipment purchases and assembly/test investment. The February plan targeted more than 90% internal wafer sourcing and more than 70% of internal wafers on 300mm in 2026; the 2030 aspiration is more than 95% internal wafers and more than 80% on 300mm. These are sourcing shares, not a disclosed saleable-unit capacity schedule.

Executed 300mm capacity to support growth

Delivered on time, on budget, with high levels of efficiency

Phase 1 (2021-2026) Transfers & incremental growth	Phase 2 (2022-2026) New fab preparation	Phase 3 (2026+) Modular capacity
• Equip RFAB2 and execute 150mm fab shutdowns, transfer into RFAB2 • Equip LFAB1 and complete technology and customer qualification • Transfer external foundry wafers into LFAB1	• LFAB2 cleanroom ready for first production start, no customer re-qualification needed • Construct SM1 and complete pilot line to begin technology and customer qualification • Complete SM2 shell, eliminating construction lead time	• Ramp fabs to meet customers' demand, without re-qualifications • Scalability of CapEx, including capacity modularity • Deliver free cash flow per share growth across a range of market conditions



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Texas Instruments

Original issuer exhibit: capital deck.pdf, PDF page 19. Source facts and plans; model assumptions are separately identified.

Our newest 300mm wafer fabs

Richardson, Texas (RFAB)



- Capacity supporting transfers from 150mm, as well as new devices and technologies
- RFAB2 ramping toward full buildout; more than doubling RFAB1 capacity since 2021

Lehi, Utah (LFAB)



- LFAB1 supports external foundry transfers, including Silicon Labs products, in key technologies from 28nm to 65nm
- LFAB2 shell construction in progress and is on track, enabling future ramp with no customer re-qualification needed

Sherman, Texas (SM)



- SM1 cleanroom and pilot line complete; will ramp according to customer demand
- SM2 shell is complete, eliminating construction lead time

28nm to 130nm process technology nodes, optimized for analog and embedded products

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Texas Instruments

Original issuer exhibit: capital deck.pdf, PDF page 20. Source facts and plans; model assumptions are separately identified.

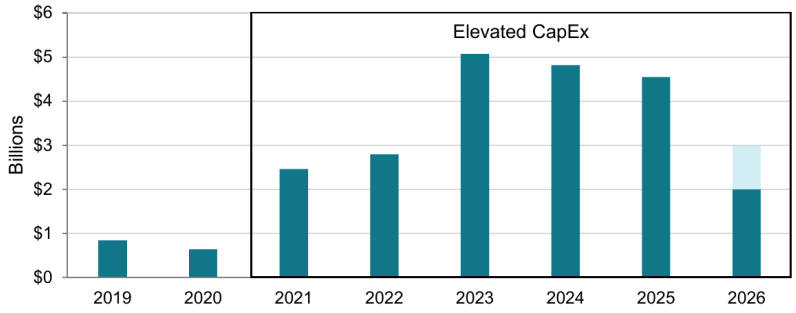
The latest 2026 capex guide remained $2-3 billion, with July suggesting the upper side of its midpoint as demand strengthened. The model has H1 actual $1.190 billion plus $850 million in each remaining quarter, or $2.890 billion. Baseline capex is $4.6/$4.7/$4.3/$4.0 billion in 2027-30, before conditional 800V equipment and acquired-business spending. This is not a permanently low-capex extrapolation.

Management's longer-run shorthand is capital intensity approximately 1.2 times revenue growth: for example, 15% growth implies around 18% of sales invested. It does not mean capex equals 1.2 times sales. The model's earlier growth years use substantial equipment budgets; later budgets remain assumptions rather than guidance. Assembly/test investment outside the United States does not automatically earn the 35% U.S. investment tax credit.

Scalability of capital expenditures

Supports long-term growth

Estimated capital expenditures (gross*)



Key metrics	2022	2026
% of wafers internal	80%	>90%
% of internal wafers 300mm	40%	>70%
% of assembly internal	60%	>85%

* Gross CapEx, does not include CHIPS Act benefits

- 300mm new fab expansions on track to be complete in 2026
- CapEx modularity supports manufacturing ramps aligned with customer demand
- 2027+ CapEx depends on revenue and expected growth
- >95% of wafers sourced internal and >80% on 300mm by 2030

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Texas Instruments

Original issuer exhibit: capital deck.pdf, PDF page 21. Source facts and plans; model assumptions are separately identified.

Pricing: available inventory can command value

When a low-cost component can halt a much more expensive production line, a qualified alternative delivered quickly can be worth more than its nominal unit price. TI's July call described customers asking for immediate help and competitors quoting lead times as long as 52 weeks. TI described its own lead times moving from below 13 weeks toward a couple of weeks longer. This is management's market observation, not a complete independently sampled lead-time index.

The active pricing branch assigns an 80% probability because management said increases were already being executed. The conditional 2027-28 increment is 50% of eligible legacy invoices repriced by 5%, or 2.5% of the non-calculator revenue pool. A 2-6% premium bounds the price sensitivity. The uplift fades to 1.875% of that pool in 2029 and 1.25% in 2030 as supply response and negotiation catch up.

Ninety percent reaches gross profit; another 5% pays incremental service, expediting and applications expense, leaving 85% incremental OP. Existing locked contracts are excluded by the eligible-volume assumption. Incremental 800V sales are excluded from this pool. If industrial/auto volumes decline in the CYCLE state, their lost invoices also lose the corresponding pricing increment. A price increase on a product that was not shipped is not revenue.

800V: a wider chip wallet with a qualification hurdle

TI's March 16 NVIDIA demonstration described an 800V-to-6V isolated converter followed by a 6V-to-sub-1V multiphase stage, plus hot-swap protection and other designs. It reported 97.6% peak efficiency and more than 2,000W per cubic inch for the demonstrated intermediate converter. These are issuer design claims at specified operating conditions, not the end-to-end efficiency of a finished data center.

The engineering reason to raise distribution voltage is that, for the same power, current falls. That can reduce resistive losses and conductor requirements. However, high-voltage conversion increases insulation, switching, protection and control demands. The captured chip wallet includes controllers, gate drivers, sensing, isolation and power stages. It does not equal the price of a rack, transformer, cooling unit or complete power supply.

The original 650V GaN datasheet below illustrates integrated drivers and protection. A 650V-rated device must not be described as an 800V-rated switch; an 800V system may require a topology that limits voltage stress across each device and adequate derating. The datasheet proves product capability, not a production award for every NVIDIA architecture.

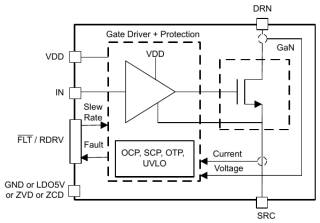
LMG365xR025 650V 25mΩ GaN FET With Integrated Driver and Protection

1 Features

- 650V 25mΩ GaN power FET with integrated gate driver
  - >200V/ns FET hold-off
  - Adjustable slew rates for optimization of switching performance and EMI mitigation
    - 10V/ns to 80V/ns turn-on slew rates
    - 10V/ns to full speed turn-off slew rates
  - Operates with supply pin and input logic pin voltage range from 9V to 26V
- Robust protection
  - Cycle-by-cycle overcurrent and latched short-circuit protection with <300ns response
  - Withstands 720V surge
  - Self-protection from internal overtemperature and UVLO monitoring
- Advanced power management
  - LMG3656R025 includes zero-voltage detection (ZVD) feature that facilitates soft-switching converters
  - LMG3657R025 includes zero-current detection (ZCD) feature that facilitates soft-switching converters
- 9.8mm × 11.6mm TOLL package with thermal pad

2 Applications

- Open rack server PSU
- Merchant telecom rectifiers
- Common redundant power supply
- Uninterruptible power supplies
- Solar inverters and industrial motor drives



Simplified Block Diagram

3 Description

The LMG365xR025 GaN FET with integrated driver and protection is targeted at switch-mode power converters and enables designers to achieve new levels of power density and efficiency.

Adjustable gate driver strength allows the control of turn-on and maximum turn-off slew rates independently, which can be used to actively control EMI and optimize switching performance. Turn on slew rate varies from 10V/ns to 80V/ns, while the turn off slew rate can be limited from 10V/ns to a maximum based on the magnitude of load current. Protection features include under-voltage lockout (UVLO), cycle-by-cycle overcurrent limit, and short-circuit and overtemperature protection. The LMG3651R025 provides a 5V LDO output on LDO5V pin that powers external digital isolators. The LMG3656R025 includes the zero-voltage detection (ZVD) feature which provides a pulse output from the ZVD pin when zero-voltage switching is realized. The LMG3657R025 includes the zero-current detection (ZCD) feature that sets the ZCD pin high when the drain-to-source current is negative and transitions to low upon detecting the zero-crossing point.

Package Information

PART NUMBER	PACKAGE(1)	PACKAGE SIZE(2)
LMG365xR025	KLA (TOLL, 9)	9.8mm × 11.6mm

(1) For all available packages, see Section 11.
(2) The package size (length × width) is a nominal value and includes pins, where applicable.

Device Information

PART NUMBER	LDO 5V OUTPUT	ZERO-VOLTAGE DETECTION FEATURE	ZERO-CURRENT DETECTION FEATURE
LMG3650R025	—	—	—
LMG3651R025 (1)	Yes	—	—
LMG3656R025 (1)	—	Yes	—
LMG3657R025 (1)	—	—	Yes

(1) Product Preview

An IMPORTANT NOTICE at the end of this data sheet addresses availability, warranty, changes, use in safety-critical applications, intellectual property matters and other important disclaimers. UNLESS OTHERWISE NOTED, this document contains PRODUCTION DATA.

Original issuer exhibit: gan datasheet.pdf, PDF page 1. Source facts and plans; model assumptions are separately identified.

The model's additional 800V wallet starts with 2/4/6/8 million eligible processor-equivalent power domains in 2027-30 and $240/$360/$420/$450 of captured TI chip content per domain. These are commercial modeling proxies. Half the resulting $480/$1,440/$2,520/$3,600 million gross wallet is excluded because the strong existing

data-center revenue path already captures power and signal-chain growth. At 55% probability, incremental sales are $132/$396/$693/$990 million.

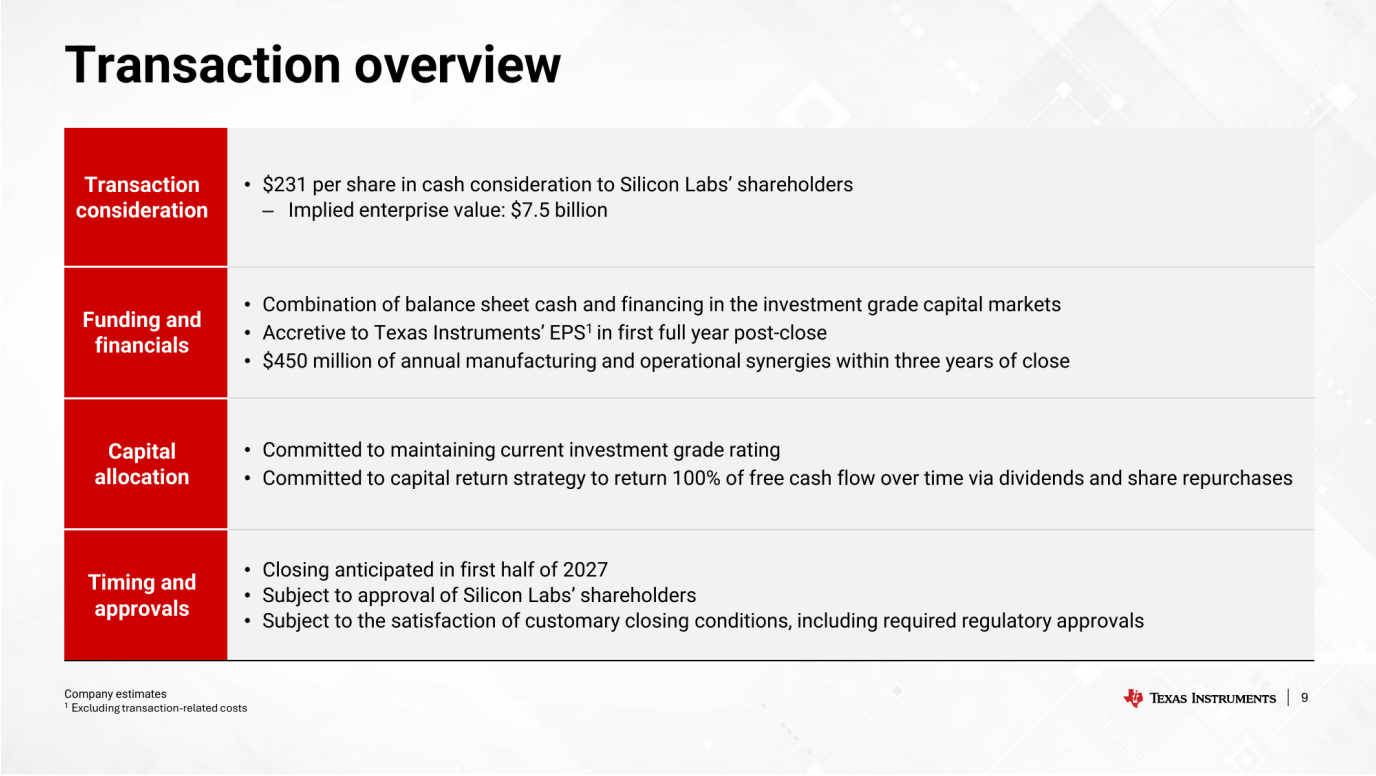
The incremental economics retain 64% gross margin and 10% engineering/support expense, or 54% OP margin. Conditional annual capex is $600/$900/$1,100/$1,200 million; associated D&A of $80/$200/$320/$400 million is contained in gross costs and added back only for cash flow. This spending responds to delivered qualified output, not to an inferred number of factory square feet.

Risks include delayed architecture adoption, lower chip content, competing silicon, alternative topologies and consolidation of conversion stages. The same two-stage architecture that raises power density can remove some intermediate sockets. Infineon, Renesas, MPS, ADI and specialist power vendors remain competitors. TI's catalog breadth and internal supply are advantages, not exclusivity.

Silicon Labs: a different product and funding decision

The February 4 agreement offers $231 cash for each Silicon Labs ordinary share. Shareholders approved the transaction on April 30. Regulatory approvals and other conditions remain; TI reiterated an expected H1 2027 close in July. The initial February 4, 2027 termination date can extend to August 4, 2027 and then February 4, 2028 for specified regulatory circumstances. The model's delayed case assumes a January 2028 close within that final extension.

The target brings wireless connectivity hardware, software and protocols into TI's broader embedded portfolio. The source deck described more than 15,000 customers, about 85% industrial exposure and no customer above 5% in the 2025 data used for that presentation. The strategic fit is genuine, but the current target is not already producing the claimed mature synergy profit: its Q2 2026 sales were $228 million, gross margin 61.6%, GAAP expenses about $151 million and operating loss about $11 million. Its $27 million non-GAAP operating income excludes costs that remain economically relevant here.



Original issuer exhibit: deal deck.pdf, PDF page 9. Source facts and plans; model assumptions are separately identified.



Original issuer exhibit: deal deck.pdf, PDF page 7. Source facts and plans; model assumptions are separately identified.

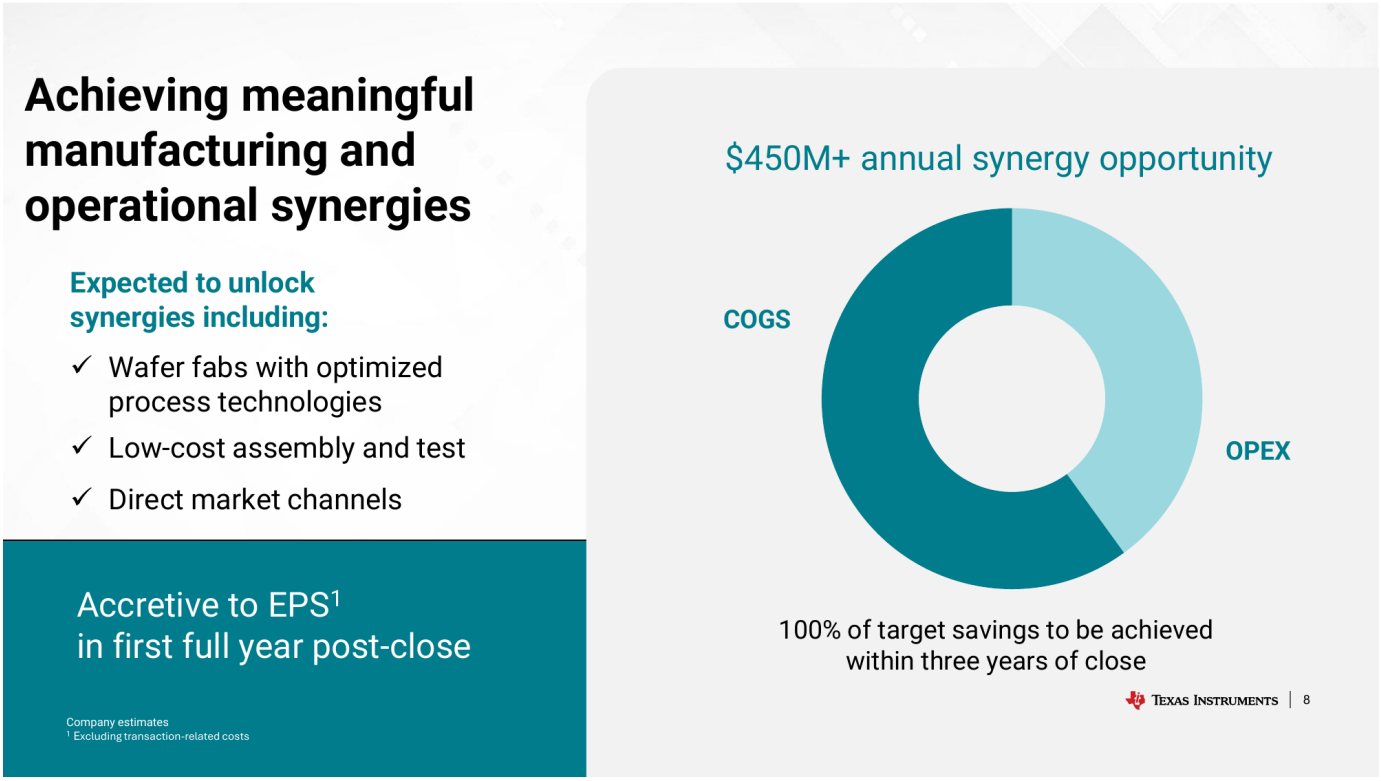
The model assigns four mutually exclusive outcomes: 75% closing during Q2 2027; 15% closing in January 2028; 7% regulatory failure in Q1 2028 with the contractual $499 million reverse termination payment; and 3% another failure without assuming either a payment or receipt. The $259 million fee potentially payable by Silicon Labs is not credited without a specific trigger. These are analyst probabilities, not company probabilities. Closing is not contingent on TI obtaining financing.

What fully expensed acquisition economics look like

The announced manufacturing and operating synergy target is more than $450 million annually within three years after close, excluding revenue synergies. Management explained that about 75% of 2030 target sales could move inside TI and that roughly 10-15 dies underpin much of the manufacturing transfer. Qualification, yield and customer acceptance still govern the speed and cost of that transfer.

The selected conditional model assumes 70% attainment of the $450 million target, or $315 million at maturity, with an eleven-quarter ramp. This is a conservative magnitude assumption within a completed-deal path, not a separate certainty statement about all synergies. Sixty percent is modeled in gross costs and 40% in expenses. It does not add cross-selling revenue on top of target organic growth. Target full-year sales assumptions are $1.080/$1.242/$1.428/$1.643 billion in 2027-30, with GAAP ordinary expenses of $560/$600/$630/$660 million before savings. Ordinary target SBC remains included.

The model also includes $450 million annual purchase-accounting amortization: a provisional $4.5 billion intangible allocation over ten years, with a $3-5 billion and 8-12-year sensitivity range. Final PPA is unknown. It includes $100 million of inventory step-up over the first two quarters, $150 million integration expense over four quarters, $80 million closing fees and $50 million accelerated-award compensation. None is removed from OP to make the acquisition look accretive. Announced EPS accretion explicitly excluded transaction-related costs; the Q1 call acknowledged that GAAP results would retain acquisition charges.



Original issuer exhibit: deal deck.pdf, PDF page 8. Source facts and plans; model assumptions are separately identified.

Cash, debt and a deal that has to be paid for

At June 30, TI reported $3.660 billion of cash and $3.341 billion of short-term investments, or $7.001 billion combined. Face debt was $14.150 billion; the $14.052 billion accounting amount is net of unamortized discounts and issuance costs. The valuation uses principal, not the lower market value of the bonds. It also reserves $123 million of underfunded retirement liabilities and $500 million of deferred compensation. Overfunded retirement assets of $316 million are not treated as freely distributable cash.

Operating leases are fully expensed in GAAP OP. The $731 million December operating-lease liability is disclosed, but is not deducted again while leaving all rent in the profit multiple. Purchase commitments are addressed within operating costs, capex and working capital; they are not all reclassified as incremental financial debt.

Consolidated Balance Sheets (In millions, except par value)	June 30, 2026	December 31, 2025
Assets		
Current assets:		
Cash and cash equivalents	**$ 3,660**	$ 3,225
Short-term investments	**3,341**	1,656
Accounts receivable, net of allowances of ($22) and ($22)	**2,520**	1,963
Raw materials	**467**	465
Work in process	**2,407**	2,372
Finished goods	**1,731**	1,967
Inventories	**4,605**	4,804
Prepaid expenses and other current assets	**1,631**	2,102
Total current assets	**15,757**	13,750
Property, plant and equipment at cost	**17,856**	17,682
Accumulated depreciation	**(5,945)**	(5,362)
Property, plant and equipment	**11,911**	12,320
Goodwill	**4,330**	4,330
Deferred tax assets	**1,017**	967
Capitalized software licenses	**314**	238
Overfunded retirement plans	**316**	324
Other long-term assets	**2,237**	2,656
Total assets	**$ 35,882**	$ 34,585
Liabilities and stockholders' equity		
Current liabilities:		
Current portion of long-term debt	**$ 1,149**	$ 500
Accounts payable	**680**	756
Accrued compensation	**536**	829
Income taxes payable	**70**	67
Accrued expenses and other liabilities	**809**	1,007
Total current liabilities	**3,244**	3,159
Long-term debt	**12,903**	13,548
Underfunded retirement plans	**123**	124
Deferred tax liabilities	**55**	66
Other long-term liabilities	**1,550**	1,415
Total liabilities	**17,875**	18,312
Stockholders' equity:		
Preferred stock, $25 par value. Shares authorized – 10; none issued	**—**	—
Common stock, $1 par value. Shares authorized – 2,400; shares issued – 1,741	**1,741**	1,741
Paid-in capital	**5,129**	4,511
Retained earnings	**53,161**	52,236
Treasury common stock at cost		
Shares: June 30, 2026 – 828; December 31, 2025 – 834	**(41,941)**	(42,130)
Accumulated other comprehensive income (loss), net of taxes (AOCI)	**(83)**	(85)
Total stockholders' equity	**18,007**	16,273
Total liabilities and stockholders' equity	**$ 35,882**	$ 34,585

See accompanying notes.

Original issuer exhibit: q2 10q.pdf, PDF page 4. Source facts and plans; model assumptions are separately identified.

Long-term debt outstanding is as follows:

	June 30, 2026	December 31, 2025
Notes due 2026 at 1.125%	$ 500	$ 500
Notes due 2027 at 4.60%	650	650
Notes due 2027 at 2.90%	500	500
Notes due 2028 at 4.60%	700	700
Notes due 2029 at 4.60%	650	650
Notes due 2029 at 2.25%	750	750
Notes due 2030 at 1.75%	750	750
Notes due 2030 at 4.50%	550	550
Notes due 2031 at 1.90%	500	500
Notes due 2032 at 3.65%	400	400
Notes due 2033 at 4.90%	950	950
Notes due 2034 at 4.85%	600	600
Notes due 2035 at 5.10%	650	650
Notes due 2039 at 3.875%	750	750
Notes due 2048 at 4.15%	1,500	1,500
Notes due 2051 at 2.70%	500	500
Notes due 2052 at 4.10%	300	300
Notes due 2053 at 5.00%	650	650
Notes due 2054 at 5.15%	750	750
Notes due 2063 at 5.05%	1,550	1,550
Total debt	14,150	14,150
Net unamortized discounts, premiums and issuance costs	(98)	(102)
Total debt, including net unamortized discounts, premiums and issuance costs	14,052	14,048
Current portion of long-term debt	(1,149)	(500)
Long-term debt	$ 12,903	$ 13,548

Interest and debt expense was $141 million and $133 million for the second quarters of 2026 and 2025, respectively, and $282 million and $261 million for the first six months of 2026 and 2025, respectively. This is inclusive of amortized discounts, premiums and issuance and other related costs. Capitalized interest was $3 million and $2 million for the second quarters of 2026 and 2025, respectively, and $6 million for the first six months of both 2026 and 2025.

Original issuer exhibit: q2 10q.pdf, PDF page 13. Source facts and plans; model assumptions are separately identified.

The latest reported target ordinary count is 33.366761 million. At $231, that is $7,707.724 million of ordinary consideration before future vesting. The cash bridge adds a $130 million bounded allowance for accelerated PSUs/RSUs and $80 million fees, then deducts $397.2 million of target cash/investments. This is $7,520.524 million before interim ordinary vesting. The headline $7.5 billion enterprise value is not substituted for the purchase cash calculation.

The model additionally allocates a 1.10 million residual ordinary-RSU pool between pre-close vesting and converted TI awards. The on-time path has 0.4 million ordinary vestings, adding $92.4 million cash, and 0.7 million converted RSUs. The delayed path has 0.8 million vestings, adding $184.8 million cash, and 0.3 million converted RSUs. This preserves the same pool rather than charging cash and dilution for the same award. January disclosed grants and August ordinary shares do not reveal the exact closing cap table; these are explicit reserved assumptions awaiting updated disclosures.

Of the $130 million accelerated-award cash allowance, $50 million is treated as post-combination compensation expense; the balance is purchase consideration. The $80 million closing fee is also expensed. Those $130 million of expenses are added back in the cash reconciliation only because the entire fee/award cash is already inside the purchase payment. Integration cash remains a separate expense and payment. PPA and inventory step-up are noncash addbacks only for funding, never for valuation.

TI disclosed a $5 billion, 364-day delayed-draw facility in June. It had not drawn it. The model assumes $5 billion of permanent financing at closing, with a 5.5% rate and maturity after 2030. That is a funding assumption, not a statement that the disclosed bridge already has those terms. The delayed case requires renewal or replacement of the commitment. The separate existing $1 billion revolver is not counted as new cash.

Scheduled principal budgets retire $500 million in Q4 2026, $1,150 million during 2027, $700 million in 2028, $1,400 million in 2029 and $1,300 million in 2030. Within-year timing is a conservative quarterly budget, not a claim to have reproduced every bond's exact settlement date. New acquisition financing is not repeatedly redrawn or counted twice.

The 32 active operating/deal combinations retain a minimum cash balance of **$5,439.6 million**. A stress removes all remaining modeled CHIPS receipts and increases incremental working capital from 35% to 55% of sequential sales change; minimum cash is **$3,661.3 million**. With no new acquisition financing, the minimum is **$475.8 million**, well below the selected $3.5 billion liquidity reserve. Thus financing access matters even though that isolated diagnostic does not immediately exhaust cash. No zero-common insolvency probability is inferred from a reserve breach.

Only $1.863 billion of the existing $2.163 billion June CHIPS receivable is collected in the model, spread over eight quarters with $300 million reserved. No new 35% credit is applied to every capex dollar, and previously received H1 grants are not received again. Cash tax is 13.5% of positive profit after interest, adding back book PPA, inventory step-up and closing fees rather than assuming those stock-acquisition costs create immediate cash deductions. Exact tax bases and deductions remain unresolved.

The cash model retains dividends: $1.42 per share in Q3 and the announced $1.52 from Q4, then 5% annual increases as a model assumption. The September announcement makes the November payment contingent on formal October declaration. No discretionary repurchases, stock-option exercise proceeds or future equity funding are needed in the active paths. Cash withholding of $20 million each quarter is included. Participating RSU dividends are included; option reserves are not treated as immediately dividend-entitled stock.

Valuation cash credit is capped at $3.501 billion, after a $3.5 billion liquidity reserve. Extra forecast cash accumulation is not credited again. This selected reserve is below TI's general capital-management objective of 10% of trailing sales plus next-year dividends; a strategic deal drawdown is therefore visible rather than disguised as meeting that higher policy benchmark.

Who owns the profit: shares and participating awards

TI reported 913.247686 million actual common shares on July 15. Q2 EPS used 912 million weighted-average basic shares and an eight-million dilutive compensation increment. Its participating RSUs separately received $11 million of Q2 income under the two-class method. Weighted EPS shares, dated actual shares and a forecast diluted denominator are different measurements.

The forward denominator starts with actual shares, adds six million participating RSUs and a twelve-million incremental option reserve, then rises by 0.5 million shares each quarter. The option reserve is deliberately above the Q2 eight-million increment; it is not the entire December gross option count added on top of shares that may already have been exercised. December reported 25 million gross options and six million RSUs; 30 million unused long-term-plan capacity and 30 million unused ESPP capacity are not all treated as issued. A practical reserve sensitivity is eight to sixteen million option equivalents and four to eight million RSUs.

The participating RSU interest is captured in the denominator, so there is no second deduction of its EPS income allocation from operating profit. Ordinary SBC is fully expensed. Target converted RSUs are added only in completed-deal states using the $231 consideration divided by a fixed $288.98 conversion-price proxy. Actual

terms use TI's ten-day pre-close VWAP; no future price is presented as known. Interim vesting, conversion-price and award-value updates must change cash, expense and shares together.

TEXAS INSTRUMENTS INCORPORATED AND SUBSIDIARIES

Significant accounting policies and practices

Earnings per share (EPS)
We use the two-class method for calculating EPS because the restricted stock units (RSUs) we grant are participating securities containing nonforfeitable rights to receive dividend equivalents. Under the two-class method, a portion of net income is allocated to RSUs and excluded from the calculation of income allocated to common stock.

Computation and reconciliation of earnings per common share are as follows:

	For Three Months Ended June 30,					
	2026			2025		
	Net Income	Shares	EPS	Net Income	Shares	EPS
Basic EPS:						
Net income	$ 1,980			$ 1,295		
Income allocated to RSUs	(11)			(7)		
Income allocated to common stock	$ 1,969	912	$ 2.16	$ 1,288	908	$ 1.42
Dilutive effect of stock compensation plans		8			4	
Diluted EPS:						
Net income	$ 1,980			$ 1,295		
Income allocated to RSUs	(11)			(7)		
Income allocated to common stock	$ 1,969	920	$ 2.14	$ 1,288	912	$ 1.41

	For Six Months Ended June 30,					
	2026			2025		
	Net Income	Shares	EPS	Net Income	Shares	EPS
Basic EPS:						
Net income	$ 3,525			$ 2,474		
Income allocated to RSUs	(20)			(13)		
Income allocated to common stock	$ 3,505	911	$ 3.85	$ 2,461	909	$ 2.71
Dilutive effect of stock compensation plans		6			5	
Diluted EPS:						
Net income	$ 3,525			$ 2,474		
Income allocated to RSUs	(20)			(13)		
Income allocated to common stock	$ 3,505	917	$ 3.82	$ 2,461	914	$ 2.69

Potentially dilutive securities excluded from the computation of diluted earnings per common share during the second quarter of 2026 were not material. Potentially dilutive securities representing 12 million shares of common stock that were outstanding during the second quarter of 2025, and 3 million and 12 million shares outstanding during the first six months of 2026 and 2025, respectively, were excluded from the computation of diluted earnings per common share during these periods because their effect would have been anti-dilutive.

Derivatives and hedging
We use derivative financial instruments to manage exposure to foreign exchange risk. These instruments are primarily forward foreign currency exchange contracts, which are used as economic hedges to reduce the earnings impact that exchange rate fluctuations may have on our non-U.S. dollar net balance sheet exposures. Gains and losses from changes in the fair value of these forward foreign currency exchange contracts are credited or charged to OI&E. We do not apply hedge accounting to our foreign currency derivative instruments.

8

Original issuer exhibit: q2 10q.pdf, PDF page 8. Source facts and plans; model assumptions are separately identified.

The operating path and what drives the ceiling

The reference already contains a strong industrial recovery, automotive content growth and fast data-center expansion. Its 2027 end-market sales are $8.80 billion industrial, $7.55 billion automotive, $4.80 billion data center, $3.45 billion personal electronics, $750 million communications and $160 million calculators. Data-center reference growth slows from 30% in 2028 to 20% in 2029 and 15% in 2030. Industrial and automotive growth also decelerate. Long-range quarterly detail is a scenario path, not management guidance.

Annual active totals include probability-weighted pricing, 800V, cycle and acquisition outcomes:

Calendar year	Reference sales	Active sales	Active GAAP OP	OP margin
2027	25,510.0	26,284.6	11,484.1	43.7%
2028	28,563.0	30,223.9	13,472.0	44.6%
2029	31,275.2	33,269.2	15,253.8	45.8%

Calendar year	Reference sales	Active sales	Active GAAP OP	OP margin
2030	33,768.4	36,093.7	16,735.4	46.4%

All 18 quarters retain R&D, SG&A, depreciation, ordinary SBC, acquired-business SBC, integration and PPA. The 15 ceiling windows use the labeled quarter plus its next three quarters. For each state, the calculation is max[0, (20 x window OP - end-window financial claims) / end-window diluted shares]. Only then are mutually exclusive transaction and operating probabilities applied. A weighted debt divided by a different weighted share denominator is not substituted for that state calculation.

The Q4 2027 reference ceiling is $266.50; the active ceiling is $262.24. Positive pricing and power-content effects are offset by inventory-cycle risk and the early GAAP/debt cost of acquiring Silicon Labs. A better strategic position can coexist with weaker near-term per-share economics. The model does not raise the valuation multiple to erase that distinction.

Counter-evidence, conditions and the next checkpoints

The largest operating risk is that the breadth observed in 2026 includes replenishment that slows after customers restore normal inventory. The active CYCLE branch removes 12% of reference industrial sales and 6% of automotive sales from 2027 at 75% lost GP less 5% saved expense, a 70% decremental margin. New 800V disappointment is already in its 45% nonachievement mass and is not subtracted again from the same wallet.

The strongest counter-evidence to durable pricing is supply response. TI itself is installing equipment and moving more manufacturing inside. Low-cost Asian analog competitors can compete aggressively in less differentiated sockets. Customers can redesign, dual source or trade performance for price. Delivery reliability can justify premiums on some invoices while the average portfolio still faces normal annual declines.

Acquisition risk is particularly visible in PPA, retention, process transfers and software continuity. A $100 million change in annual acquired-intangible amortization changes a full-year 20x operating valuation by roughly $2 billion before shares and state weights. That sensitivity is too large to dismiss as merely a noncash reporting item in a framework that uses GAAP OP. The target's former foundry relationships and product qualification obligations continue until a transfer works commercially.

The next meaningful checkpoints are October 21 results and pricing commentary, early-2027 annual customer renewals, TI's February capital-management update, merger approvals and credit renewal, the closing cap table and purchase allocation, and evidence of actual high-voltage design shipments. A reference-design demonstration can raise a bounded probability before official volume confirmation; it cannot determine the full customer allocation.

Framework score and research limits

Component	Points	Reason
Core thesis	17	Cost, channel and qualified supply advantages with diverse long-lived analog sockets.
Cycle	8	Broad industrial recovery and datacenter growth, but inventory cycles remain.
TAM	8	Per-system analog content and power conversion grow; no whole-rack TAM assignment.
Catalysts	4	Q3 results,2027 price renewals,capacity ramp and acquisition approvals.
Macro	7	Industrial/auto/geopolitical cyclicality offsets structural AI and manufacturing localization.
Alpha	4	Usable capacity and GAAP acquisition costs differ from a simple low-capex or AI multiple thesis.
Risk class	-3	Large cash deal, regulation, inventory and uncertain pricing duration.

Total 45/60 gives Base75. This is the analytical score for a new covered company. It is separate from the ceiling, which uses a fixed 20x method and can decline even as business quality improves. No analyst target or sector-average multiple is imported.

The largest remaining gaps are precise pricing eligibility, qualified 800V chip content and shipment timing, the target's final award/ordinary count, purchase allocation, and permanent funding terms. Quarterly end-market allocations and the long-range path are model estimates. The engineering case is strongest where demonstrated production, delivery, qualification and cost advantages intersect; it is weakest where reference designs are treated as awarded revenue.

Primary source register

The dossier retains original PDFs/HTML, hashes and the exact point-of-use source exhibits. Key sources are the 2025 Form10-K and proxy; February24 capital-management deck and discussion; April22 and July22 full earnings discussions; June30 Form10-Q; March16 800V architecture release; the LMG365xR025 datasheet revised December2025; February4 acquisition deck and call; the signed merger agreement and March27 Silicon Labs proxy; April30 shareholder vote; July4 target Form10-Q and August Q2 release; and September17 dividend announcement. The dated market quote is a separately labeled Polygon-linked public record, not an operating source.

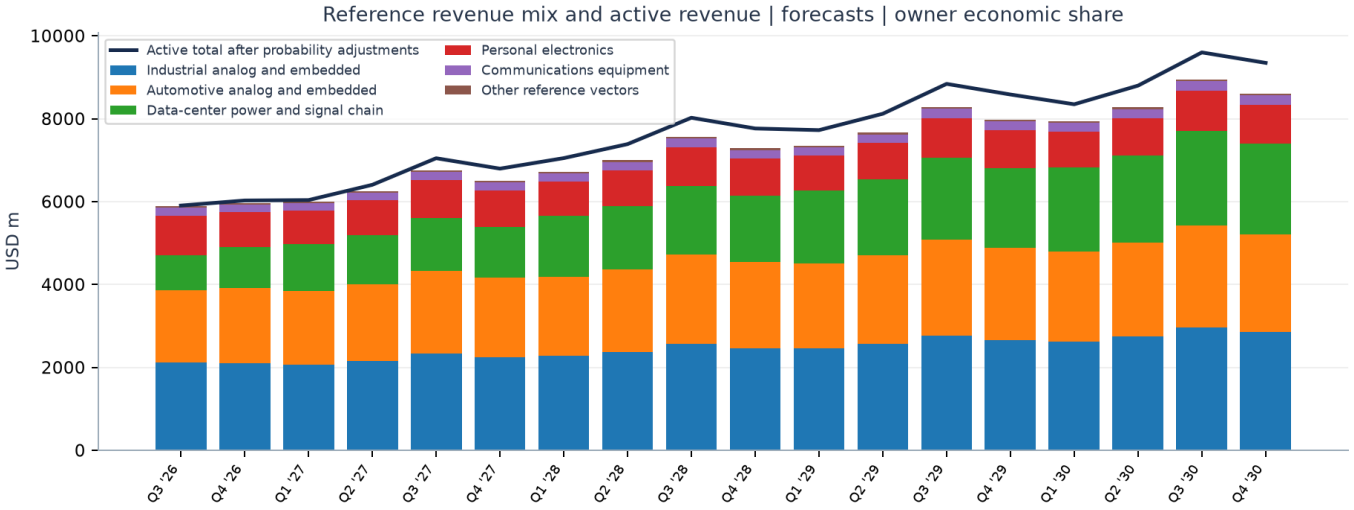
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Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Cost, channel and qualified supply advantages with diverse long-lived analog sockets.
Cycle	8	Broad industrial recovery and datacenter growth, but inventory cycles remain.
TAM	8	Per-system analog content and power conversion grow; no whole-rack TAM assignment.
Catalysts	4	Q3 results,2027 price renewals,capacity ramp and acquisition approvals.
Macro	7	Industrial/auto/geopolitical cyclicality offsets structural AI and manufacturing localization.
Alpha	4	Usable capacity and GAAP acquisition costs differ from a simple low-capex or AI multiple thesis.
Risk classes	-3	Large cash deal, regulation, inventory and uncertain pricing duration.
Total	45/60	Rounded Base 75. Both artifact and new workbook row use this score; this is not a manual override.

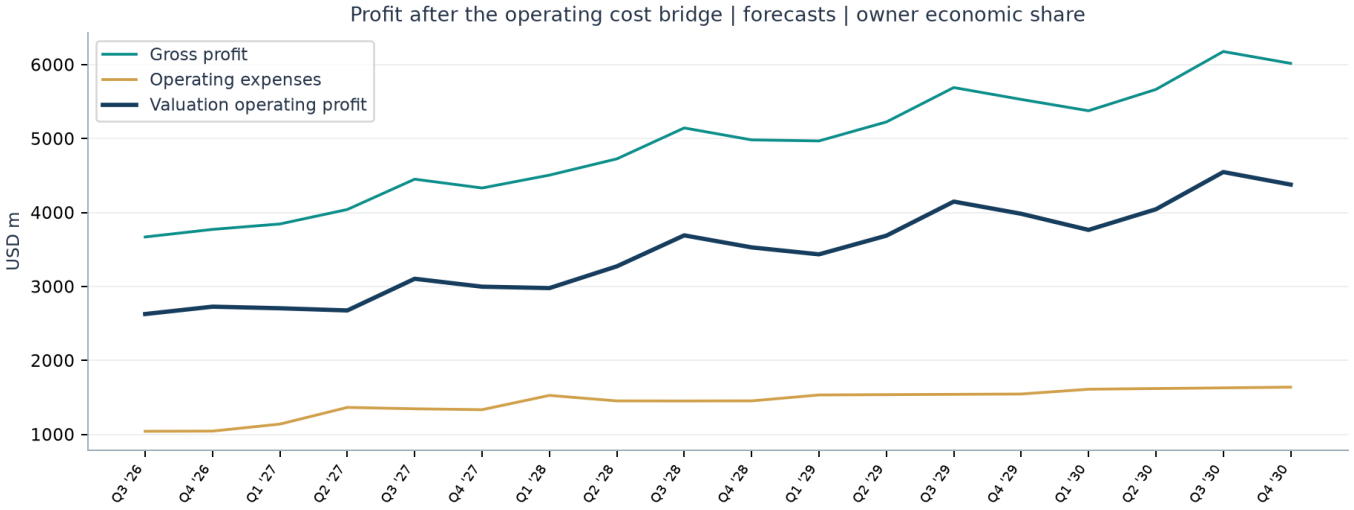
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	5,900.0	4.7	5,904.7
Q4 2026	5,970.0	56.9	6,026.9
Q1 2027	5,994.9	41.9	6,036.8
Q2 2027	6,249.9	155.6	6,405.5
Q3 2027	6,760.1	286.6	7,046.8
Q4 2027	6,505.1	290.5	6,795.6
Q1 2028	6,712.3	336.9	7,049.2
Q2 2028	6,997.9	389.1	7,387.0
Q3 2028	7,569.2	454.0	8,023.2
Q4 2028	7,283.6	480.9	7,764.5
Q1 2029	7,349.7	375.0	7,724.7
Q2 2029	7,662.4	457.4	8,119.8
Q3 2029	8,287.9	552.7	8,840.6
Q4 2029	7,975.2	609.0	8,584.1
Q1 2030	7,935.6	412.8	8,348.4
Q2 2030	8,273.3	525.2	8,798.4
Q3 2030	8,948.6	650.9	9,599.5
Q4 2030	8,610.9	736.5	9,347.4

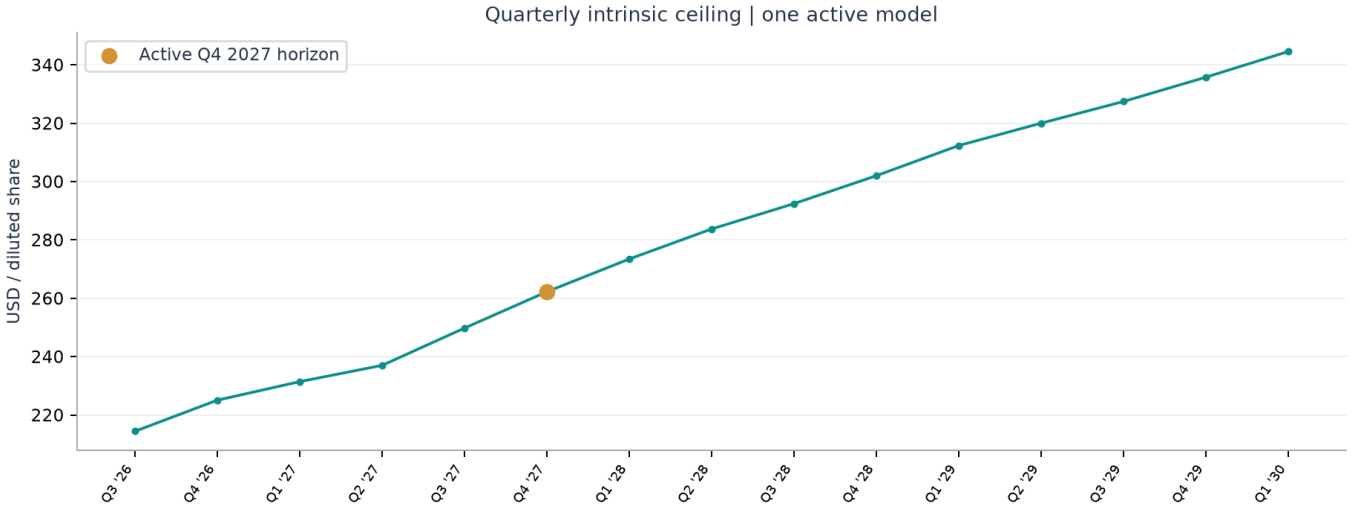
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	5,904.7	3,670.0	1,042.2	2,627.7	44.5%
Q4 2026	6,026.9	3,772.2	1,044.8	2,727.4	45.3%
Q1 2027	6,036.8	3,845.5	1,139.8	2,705.8	44.8%
Q2 2027	6,405.5	4,041.3	1,365.1	2,676.2	41.8%
Q3 2027	7,046.8	4,451.1	1,346.5	3,104.5	44.1%
Q4 2027	6,795.6	4,332.0	1,334.4	2,997.5	44.1%
Q1 2028	7,049.2	4,506.2	1,527.7	2,978.5	42.3%
Q2 2028	7,387.0	4,725.9	1,453.0	3,273.0	44.3%
Q3 2028	8,023.2	5,143.8	1,452.2	3,691.6	46.0%
Q4 2028	7,764.5	4,982.4	1,453.5	3,528.9	45.4%
Q1 2029	7,724.7	4,968.3	1,533.4	3,435.0	44.5%
Q2 2029	8,119.8	5,225.0	1,537.7	3,687.3	45.4%
Q3 2029	8,840.6	5,690.2	1,542.1	4,148.1	46.9%
Q4 2029	8,584.1	5,529.9	1,546.4	3,983.5	46.4%
Q1 2030	8,348.4	5,376.3	1,610.9	3,765.4	45.1%
Q2 2030	8,798.4	5,664.7	1,620.3	4,044.4	46.0%
Q3 2030	9,599.5	6,177.4	1,629.6	4,547.8	47.4%
Q4 2030	9,347.4	6,017.0	1,639.2	4,377.9	46.8%

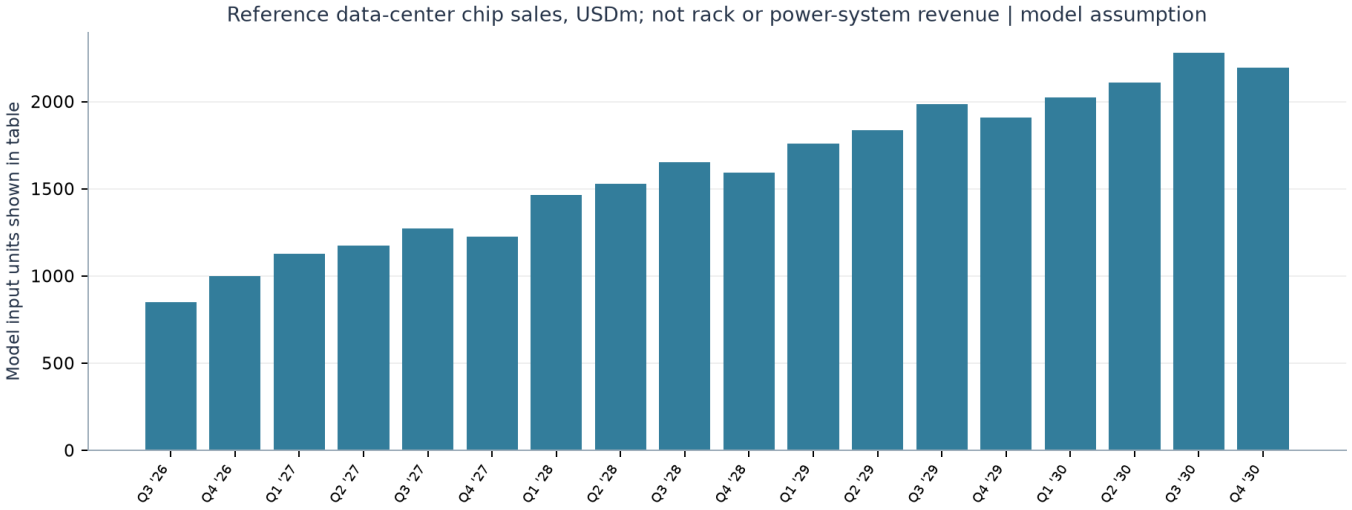
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	10,737.1	20x	933.167	214.42
Q4 2026	Q4 2026 to Q3 2027	11,213.9	20x	933.667	225.08
Q1 2027	Q1 2027 to Q4 2027	11,484.1	20x	934.167	231.44
Q2 2027	Q2 2027 to Q1 2028	11,756.8	20x	934.703	237.01
Q3 2027	Q3 2027 to Q2 2028	12,353.6	20x	935.203	249.79
Q4 2027	Q4 2027 to Q3 2028	12,940.6	20x	935.703	262.24
Q1 2028	Q1 2028 to Q4 2028	13,472.0	20x	936.203	273.46
Q2 2028	Q2 2028 to Q1 2029	13,928.5	20x	936.703	283.76
Q3 2028	Q3 2028 to Q2 2029	14,342.8	20x	937.203	292.45
Q4 2028	Q4 2028 to Q3 2029	14,799.3	20x	937.703	302.03
Q1 2029	Q1 2029 to Q4 2029	15,253.8	20x	938.203	312.36
Q2 2029	Q2 2029 to Q1 2030	15,584.3	20x	938.703	320.03
Q3 2029	Q3 2029 to Q2 2030	15,941.3	20x	939.203	327.46
Q4 2029	Q4 2029 to Q3 2030	16,341.0	20x	939.703	335.80
Q1 2030	Q1 2030 to Q4 2030	16,735.4	20x	940.203	344.59

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Reference data-center chip sales, USDm; not rack or power-system revenue	Status
Q3 2026	850.000	Model; Q3 results scheduled October 21, 2026
Q4 2026	1,000.000	Model; Q3 results scheduled October 21, 2026
Q1 2027	1,128.000	Model; Q3 results scheduled October 21, 2026
Q2 2027	1,176.000	Model; Q3 results scheduled October 21, 2026
Q3 2027	1,272.000	Model; Q3 results scheduled October 21, 2026
Q4 2027	1,224.000	Model; Q3 results scheduled October 21, 2026
Q1 2028	1,466.400	Model; Q3 results scheduled October 21, 2026
Q2 2028	1,528.800	Model; Q3 results scheduled October 21, 2026
Q3 2028	1,653.600	Model; Q3 results scheduled October 21, 2026
Q4 2028	1,591.200	Model; Q3 results scheduled October 21, 2026
Q1 2029	1,759.680	Model; Q3 results scheduled October 21, 2026
Q2 2029	1,834.560	Model; Q3 results scheduled October 21, 2026
Q3 2029	1,984.320	Model; Q3 results scheduled October 21, 2026
Q4 2029	1,909.440	Model; Q3 results scheduled October 21, 2026
Q1 2030	2,023.632	Model; Q3 results scheduled October 21, 2026
Q2 2030	2,109.744	Model; Q3 results scheduled October 21, 2026
Q3 2030	2,281.968	Model; Q3 results scheduled October 21, 2026
Q4 2030	2,195.856	Model; Q3 results scheduled October 21, 2026

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Industrial analog and embedded	2,120.0	64.0%	1,356.8
Q3 2026	Automotive analog and embedded	1,740.0	64.0%	1,113.6
Q3 2026	Data-center power and signal chain	850.0	63.0%	535.5
Q3 2026	Personal electronics	955.0	55.0%	525.2
Q3 2026	Communications equipment	190.0	59.0%	112.1
Q3 2026	Calculators and other	45.0	50.0%	22.5
Q4 2026	Industrial analog and embedded	2,100.0	64.0%	1,344.0
Q4 2026	Automotive analog and embedded	1,810.0	64.0%	1,158.4
Q4 2026	Data-center power and signal chain	1,000.0	63.0%	630.0
Q4 2026	Personal electronics	830.0	55.0%	456.5
Q4 2026	Communications equipment	190.0	59.0%	112.1
Q4 2026	Calculators and other	40.0	50.0%	20.0
Q1 2027	Industrial analog and embedded	2,068.0	65.0%	1,344.2
Q1 2027	Automotive analog and embedded	1,774.2	65.0%	1,153.3
Q1 2027	Data-center power and signal chain	1,128.0	64.0%	721.9
Q1 2027	Personal electronics	810.8	56.0%	454.0
Q1 2027	Communications equipment	176.2	60.0%	105.8
Q1 2027	Calculators and other	37.6	50.0%	18.8
Q2 2027	Industrial analog and embedded	2,156.0	65.0%	1,401.4
Q2 2027	Automotive analog and embedded	1,849.8	65.0%	1,202.3
Q2 2027	Data-center power and signal chain	1,176.0	64.0%	752.6
Q2 2027	Personal electronics	845.2	56.0%	473.3
Q2 2027	Communications equipment	183.8	60.0%	110.2
Q2 2027	Calculators and other	39.2	50.0%	19.6
Q3 2027	Industrial analog and embedded	2,332.0	65.0%	1,515.8
Q3 2027	Automotive analog and embedded	2,000.8	65.0%	1,300.5
Q3 2027	Data-center power and signal chain	1,272.0	64.0%	814.1
Q3 2027	Personal electronics	914.2	56.0%	512.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	Communications equipment	198.8	60.0%	119.2
Q3 2027	Calculators and other	42.4	50.0%	21.2
Q4 2027	Industrial analog and embedded	2,244.0	65.0%	1,458.6
Q4 2027	Automotive analog and embedded	1,925.2	65.0%	1,251.4
Q4 2027	Data-center power and signal chain	1,224.0	64.0%	783.4
Q4 2027	Personal electronics	879.8	56.0%	492.7
Q4 2027	Communications equipment	191.2	60.0%	114.8
Q4 2027	Calculators and other	40.8	50.0%	20.4
Q1 2028	Industrial analog and embedded	2,274.8	65.5%	1,490.0
Q1 2028	Automotive analog and embedded	1,916.2	65.0%	1,245.5
Q1 2028	Data-center power and signal chain	1,466.4	64.0%	938.5
Q1 2028	Personal electronics	827.0	56.0%	463.1
Q1 2028	Communications equipment	190.3	60.0%	114.2
Q1 2028	Calculators and other	37.6	50.0%	18.8
Q2 2028	Industrial analog and embedded	2,371.6	65.5%	1,553.4
Q2 2028	Automotive analog and embedded	1,997.7	65.0%	1,298.5
Q2 2028	Data-center power and signal chain	1,528.8	64.0%	978.4
Q2 2028	Personal electronics	862.2	56.0%	482.8
Q2 2028	Communications equipment	198.4	60.0%	119.1
Q2 2028	Calculators and other	39.2	50.0%	19.6
Q3 2028	Industrial analog and embedded	2,565.2	65.5%	1,680.2
Q3 2028	Automotive analog and embedded	2,160.8	65.0%	1,404.5
Q3 2028	Data-center power and signal chain	1,653.6	64.0%	1,058.3
Q3 2028	Personal electronics	932.5	56.0%	522.2
Q3 2028	Communications equipment	214.7	60.0%	128.8
Q3 2028	Calculators and other	42.4	50.0%	21.2
Q4 2028	Industrial analog and embedded	2,468.4	65.5%	1,616.8
Q4 2028	Automotive analog and embedded	2,079.3	65.0%	1,351.5
Q4 2028	Data-center power and signal chain	1,591.2	64.0%	1,018.4
Q4 2028	Personal electronics	897.3	56.0%	502.5
Q4 2028	Communications equipment	206.6	60.0%	123.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Calculators and other	40.8	50.0%	20.4
Q1 2029	Industrial analog and embedded	2,456.8	66.0%	1,621.5
Q1 2029	Automotive analog and embedded	2,050.3	65.0%	1,332.7
Q1 2029	Data-center power and signal chain	1,759.7	64.0%	1,126.2
Q1 2029	Personal electronics	843.5	56.0%	472.4
Q1 2029	Communications equipment	201.8	60.0%	121.1
Q1 2029	Calculators and other	37.6	50.0%	18.8
Q2 2029	Industrial analog and embedded	2,561.3	66.0%	1,690.5
Q2 2029	Automotive analog and embedded	2,137.6	65.0%	1,389.4
Q2 2029	Data-center power and signal chain	1,834.6	64.0%	1,174.1
Q2 2029	Personal electronics	879.4	56.0%	492.5
Q2 2029	Communications equipment	210.4	60.0%	126.2
Q2 2029	Calculators and other	39.2	50.0%	19.6
Q3 2029	Industrial analog and embedded	2,770.4	66.0%	1,828.5
Q3 2029	Automotive analog and embedded	2,312.1	65.0%	1,502.8
Q3 2029	Data-center power and signal chain	1,984.3	64.0%	1,270.0
Q3 2029	Personal electronics	951.2	56.0%	532.7
Q3 2029	Communications equipment	227.5	60.0%	136.5
Q3 2029	Calculators and other	42.4	50.0%	21.2
Q4 2029	Industrial analog and embedded	2,665.9	66.0%	1,759.5
Q4 2029	Automotive analog and embedded	2,224.8	65.0%	1,446.1
Q4 2029	Data-center power and signal chain	1,909.4	64.0%	1,222.0
Q4 2029	Personal electronics	915.3	56.0%	512.6
Q4 2029	Communications equipment	218.9	60.0%	131.4
Q4 2029	Calculators and other	40.8	50.0%	20.4
Q1 2030	Industrial analog and embedded	2,628.8	66.0%	1,735.0
Q1 2030	Automotive analog and embedded	2,173.3	65.0%	1,412.7
Q1 2030	Data-center power and signal chain	2,023.6	64.0%	1,295.1
Q1 2030	Personal electronics	860.4	56.0%	481.8
Q1 2030	Communications equipment	211.9	60.0%	127.1
Q1 2030	Calculators and other	37.6	50.0%	18.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Industrial analog and embedded	2,740.6	66.0%	1,808.8
Q2 2030	Automotive analog and embedded	2,265.8	65.0%	1,472.8
Q2 2030	Data-center power and signal chain	2,109.7	64.0%	1,350.2
Q2 2030	Personal electronics	897.0	56.0%	502.3
Q2 2030	Communications equipment	220.9	60.0%	132.5
Q2 2030	Calculators and other	39.2	50.0%	19.6
Q3 2030	Industrial analog and embedded	2,964.3	66.0%	1,956.5
Q3 2030	Automotive analog and embedded	2,450.8	65.0%	1,593.0
Q3 2030	Data-center power and signal chain	2,282.0	64.0%	1,460.5
Q3 2030	Personal electronics	970.2	56.0%	543.3
Q3 2030	Communications equipment	238.9	60.0%	143.3
Q3 2030	Calculators and other	42.4	50.0%	21.2
Q4 2030	Industrial analog and embedded	2,852.5	66.0%	1,882.6
Q4 2030	Automotive analog and embedded	2,358.3	65.0%	1,532.9
Q4 2030	Data-center power and signal chain	2,195.9	64.0%	1,405.3
Q4 2030	Personal electronics	933.6	56.0%	522.8
Q4 2030	Communications equipment	229.9	60.0%	137.9
Q4 2030	Calculators and other	40.8	50.0%	20.4

Operating-cost derivation

Quarter	Research and development including SBC and depreciation	Selling and administration including SBC and depreciation	Existing acquisition diligence charges
Q3 2026	543.2	481.8	17.0
Q4 2026	543.2	481.8	17.0
Q1 2027	593.6	526.4	0.0
Q2 2027	593.6	526.4	0.0
Q3 2027	593.6	526.4	0.0
Q4 2027	593.6	526.4	0.0
Q1 2028	641.3	568.7	0.0
Q2 2028	641.3	568.7	0.0
Q3 2028	641.3	568.7	0.0
Q4 2028	641.3	568.7	0.0
Q1 2029	689.0	611.0	0.0
Q2 2029	689.0	611.0	0.0
Q3 2029	689.0	611.0	0.0
Q4 2029	689.0	611.0	0.0
Q1 2030	731.4	648.6	0.0
Q2 2030	731.4	648.6	0.0
Q3 2030	731.4	648.6	0.0
Q4 2030	731.4	648.6	0.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	PRICE	80%	5.9	5.3	0.3	4.0
Q3 2026	POWER800	55%	0.0	0.0	0.0	0.0
Q3 2026	CYCLE	25%	0.0	0.0	0.0	0.0
Q3 2026	DEAL AND INTERACTION RECONCILIATION	100%	0.0	-0.0	0.0	-0.0
Q4 2026	PRICE	80%	71.2	64.0	3.6	48.4
Q4 2026	POWER800	55%	0.0	0.0	0.0	0.0
Q4 2026	CYCLE	25%	0.0	0.0	0.0	0.0
Q4 2026	DEAL AND INTERACTION RECONCILIATION	100%	-0.0	0.0	0.0	-0.0
Q1 2027	PRICE	80%	148.9	134.0	7.4	101.3
Q1 2027	POWER800	55%	24.0	15.4	2.4	7.1
Q1 2027	CYCLE	25%	-354.6	-266.0	-17.7	-62.1
Q1 2027	DEAL AND INTERACTION RECONCILIATION	100%	-1.8	-1.6	16.9	-18.5
Q2 2027	PRICE	80%	155.3	139.7	7.8	105.6
Q2 2027	POWER800	55%	48.0	30.7	4.8	14.3
Q2 2027	CYCLE	25%	-369.7	-277.3	-18.5	-64.7
Q2 2027	DEAL AND INTERACTION RECONCILIATION	100%	97.4	22.4	240.8	-218.5
Q3 2027	PRICE	80%	167.9	151.1	8.4	114.2
Q3 2027	POWER800	55%	72.0	46.1	7.2	21.4
Q3 2027	CYCLE	25%	-399.9	-299.9	-20.0	-70.0
Q3 2027	DEAL AND INTERACTION RECONCILIATION	100%	212.7	97.0	220.9	-123.9
Q4 2027	PRICE	80%	161.6	145.4	8.1	109.9
Q4 2027	POWER800	55%	96.0	61.4	9.6	28.5
Q4 2027	CYCLE	25%	-384.8	-288.6	-19.2	-67.3

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2027	DEAL AND INTERACTION RECONCILIATION	100%	204.6	132.8	207.5	-74.7
Q1 2028	PRICE	80%	166.9	150.2	8.3	113.5
Q1 2028	POWER800	55%	72.0	46.1	7.2	21.4
Q1 2028	CYCLE	25%	-387.9	-291.0	-19.4	-67.9
Q1 2028	DEAL AND INTERACTION RECONCILIATION	100%	260.7	163.3	311.9	-148.6
Q2 2028	PRICE	80%	174.0	156.6	8.7	118.3
Q2 2028	POWER800	55%	144.0	92.2	14.4	42.8
Q2 2028	CYCLE	25%	-404.5	-303.3	-20.2	-70.8
Q2 2028	DEAL AND INTERACTION RECONCILIATION	100%	271.8	174.0	233.1	-59.1
Q3 2028	PRICE	80%	188.2	169.4	9.4	128.0
Q3 2028	POWER800	55%	216.0	138.2	21.6	64.2
Q3 2028	CYCLE	25%	-437.5	-328.1	-21.9	-76.6
Q3 2028	DEAL AND INTERACTION RECONCILIATION	100%	294.0	199.1	228.3	-29.2
Q4 2028	PRICE	80%	181.1	163.0	9.1	123.1
Q4 2028	POWER800	55%	288.0	184.3	28.8	85.5
Q4 2028	CYCLE	25%	-421.0	-315.7	-21.0	-73.7
Q4 2028	DEAL AND INTERACTION RECONCILIATION	100%	282.9	196.1	225.7	-29.6
Q1 2029	PRICE	80%	137.1	123.4	6.9	93.2
Q1 2029	POWER800	55%	126.0	80.6	12.6	37.4
Q1 2029	CYCLE	25%	-417.8	-313.4	-20.9	-73.1
Q1 2029	DEAL AND INTERACTION RECONCILIATION	100%	300.5	211.0	226.2	-15.2
Q2 2029	PRICE	80%	142.9	128.6	7.1	97.2
Q2 2029	POWER800	55%	252.0	161.3	25.2	74.8
Q2 2029	CYCLE	25%	-435.6	-326.7	-21.8	-76.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2029	DEAL AND INTERACTION RECONCILIATION	100%	313.3	222.8	223.6	-0.8
Q3 2029	PRICE	80%	154.6	139.1	7.7	105.1
Q3 2029	POWER800	55%	378.0	241.9	37.8	112.3
Q3 2029	CYCLE	25%	-471.2	-353.4	-23.6	-82.5
Q3 2029	DEAL AND INTERACTION RECONCILIATION	100%	338.9	242.5	221.0	21.5
Q4 2029	PRICE	80%	148.8	133.9	7.4	101.2
Q4 2029	POWER800	55%	504.0	322.6	50.4	149.7
Q4 2029	CYCLE	25%	-453.4	-340.0	-22.7	-79.3
Q4 2029	DEAL AND INTERACTION RECONCILIATION	100%	326.1	238.4	218.4	20.0
Q1 2030	PRICE	80%	98.7	88.9	4.9	67.1
Q1 2030	POWER800	55%	180.0	115.2	18.0	53.5
Q1 2030	CYCLE	25%	-445.9	-334.4	-22.3	-78.0
Q1 2030	DEAL AND INTERACTION RECONCILIATION	100%	346.3	255.0	222.6	32.3
Q2 2030	PRICE	80%	102.9	92.6	5.1	70.0
Q2 2030	POWER800	55%	360.0	230.4	36.0	106.9
Q2 2030	CYCLE	25%	-464.8	-348.6	-23.2	-81.3
Q2 2030	DEAL AND INTERACTION RECONCILIATION	100%	361.0	264.7	222.2	42.5
Q3 2030	PRICE	80%	111.3	100.2	5.6	75.7
Q3 2030	POWER800	55%	540.0	345.6	54.0	160.4
Q3 2030	CYCLE	25%	-502.8	-377.1	-25.1	-88.0
Q3 2030	DEAL AND INTERACTION RECONCILIATION	100%	390.5	283.6	221.8	61.9
Q4 2030	PRICE	80%	107.1	96.4	5.4	72.8
Q4 2030	POWER800	55%	720.0	460.8	72.0	213.8
Q4 2030	CYCLE	25%	-483.8	-362.8	-24.2	-84.7

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2030	DEAL AND INTERACTION RECONCILIATION	100%	375.8	275.2	221.3	53.8

Transaction outcomes and matched common-share values

Each transaction outcome contains eight persistent pricing, 800V and cyclical combinations. The table averages common-share values only after matching each path to its own window-end claims and shares. USD millions except per-share values.

Q4 2027 outcome	Probability	Conditional F4Q OP	Conditional ceiling	Weighted contribution	Minimum path cash
ON TIME	75%	13,000.0	262.95	197.21	5,439.6
DELAY	15%	12,681.0	256.22	38.43	5,606.4
REG FAIL	7%	12,729.4	262.67	18.39	7,785.7
OTHER FAIL	3%	13,245.4	273.71	8.21	7,785.7

Acquisition funding includes an assumed USD5 billion permanent refinancing. The disclosed short-term bridge is not a committed permanent capital structure. The model retains acquisition amortization, integration and award expense in operating profit. Cash addbacks only remove duplicate funding for items already in purchase cash.

Quarterly funding and liquidity envelope

The 32 active paths retain a USD3.5 billion operating reserve under the stated refinancing assumption. The no-financing diagnostic breaches that reserve. Cash credit in valuation is limited to USD3.501 billion; cash above that cap is not a second valuation asset.

Quarter	Expected end cash	Minimum path cash	Expected end debt	Expected deal cash	Expected capex
Q3 2026	7,787.5	7,785.7	14,150.0	0.0	850.0
Q4 2026	8,181.6	8,156.3	13,650.0	0.0	850.0
Q1 2027	8,721.5	8,505.8	13,650.0	0.0	1,232.5
Q2 2027	6,637.7	5,439.6	16,750.0	5,709.7	1,240.0
Q3 2027	7,374.3	5,840.0	16,750.0	0.0	1,247.5
Q4 2027	7,799.9	5,945.5	16,250.0	0.0	1,247.5
Q1 2028	7,352.9	5,606.4	16,300.0	1,155.8	1,316.8
Q2 2028	8,181.0	6,051.7	16,300.0	0.0	1,316.8
Q3 2028	9,096.5	6,595.1	16,300.0	0.0	1,316.8
Q4 2028	10,183.6	7,319.3	16,300.0	0.0	1,316.8
Q1 2029	10,521.6	7,326.6	15,650.0	0.0	1,244.2
Q2 2029	11,577.8	8,042.6	15,650.0	0.0	1,244.2
Q3 2029	12,917.6	9,053.8	15,650.0	0.0	1,244.2
Q4 2029	13,709.8	9,537.8	14,900.0	0.0	1,244.2
Q1 2030	14,337.9	9,881.0	14,150.0	0.0	1,183.0
Q2 2030	15,719.9	10,953.7	14,150.0	0.0	1,183.0
Q3 2030	17,413.5	12,366.4	14,150.0	0.0	1,183.0
Q4 2030	18,780.4	13,488.9	13,600.0	0.0	1,183.0

Claim decisions, overlap and triggers

PRICE

p: 0.8

source: April22 and July22 complete management discussions.

bounded: Q3 2026 conditional0.1% and Q4 1.2% of eligible legacy sales. In2027-28,50% new/repriceable invoices x5% premium =2.5%; selected premium bounded2-6%. Fade to1.875% in2029 and1.25% in2030.

bridge: 90% incremental gross profit less5% incremental service/expediting cost =85% OP. Repricing is reduced by the same lost industrial/auto volumes in the CYCLE state.

overlap: Reference includes flat H1 realized prices and unit recovery. Fixed contracts and incremental800V sales excluded; no second300mm margin uplift.

counter: Competitive capacity, annual contract renewal, Chinese analog supply and normalization of lead times can reduce pricing.

POWER800

p: 0.55

source: March16 NVIDIA architecture demonstration and July22 phased-adoption discussion.

bounded: 2/4/6/8m eligible power domains in2027-30 x$240/$360/$420/$450 captured TI chip content x50% residual after overlap =240/720/1260/1800m conditional sales. These are bounded model proxies, not issuer awards. Unit bound50-150%; content bound75-125%.

bridge: 64% incremental GP minus10% engineering/support =54% OP. Conditional capex600/900/1100/1200m annually; D&A80/200/320/400m remains in gross costs, added back only for cash.

overlap: Half the wallet removed because reference data-center sales already grow to4.8/6.24/7.488/8.611bn. Rack value, whole PSUs and broadAI TAM are not assigned to TI.

counter: Reference designs do not guarantee volume. Fewer conversion stages can remove sockets; competitors, qualification and adoption timing matter.

CYCLE

p: 0.25

source: April22 false-start warning, annual inventory cycle and July22 broad recovery discussion.

bounded: From2027,12% lost reference industrial sales and6% lost reference automotive sales, excluding incremental800V sales.

bridge: 75% lost GP with5% saved variable opex =70% OP decrement. Lost units also remove their potential repricing receipts.

overlap: 800V failure already sits in its45% nonachievement mass; the same missed wallet is not subtracted twice.

counter: Secular content, new industrial designs and broad regional demand could sustain growth.

SLAB

probabilities: ON TIME: 0.75 DELAY: 0.15 REG FAIL: 0.07 OTHER FAIL: 0.03

source: February4 signed agreement/deck/call; March27 proxy; April30 vote; targetQ2 filing; July22 TI call.

bounded: 75% Q2 2027 close withhalf-quarter recognition;15% January2028 close;7% Q1 2028 regulatory failure with499m cashfee;3% Q2 2027 otherfailure withno assumed fee or receipt. Mutually exclusive100%.

bridge: Target standalone full-year sales1.08/1.242/1.4283/1.642545bnCY27-30;62% GP;560/600/630/660m ordinary GAAPopex. Selected mature savings315m =70% attainment of450m target, ramped over11quarters. This70% is a conditional magnitude assumption, not another probability. Annual450m PPA,100m inventory step-up,150m integration,80m closingfees and50m accelerated compensation remain in OP.

overlap: No target sales before close; no revenue synergy added. Existing target SBC stays in ordinary expenses. Ordinary unvested RSUs convert to TI stock; only specified accelerated awards settle in cash. Price/cycle intersection is a mechanical reconciliation, not an independent opportunity.

counter: Regulatory remedies, foundry transfers, customer qualification, PPA, integration and final closing cap table can change economics.

DEAL_CASH

source: Merger ordinary consideration231/share; August4 actual33.366761m shares; July4 liquid assets397.2m; proxy award provisions.

bounded: Ordinary purchase7707.723791m +130m accelerated-award allowance +80m closing fees -397.2m targetcash =7520.523791m before interim vesting. Residual1.10m RSU pool splits0.4m cash/0.7m converted foron-time or0.8m cash/0.3m converted fordelayed. Closing cash adds92.4m or184.8m respectively.

bridge: Closing-fee80m and accelerated compensation50m are expensed and then added back in the cash bridge because their payment is already in purchase cash. Remaining80m award allowance is acquisition consideration. PPA, inventory step-up and closing fees receive no assumed immediate cash-tax deduction.

counter: Final ordinary and award counts, vesting, taxbasis and10-day conversionVWAP are unknown. This is an explicit provisional reserve, not reported final consideration.

FUNDING

p: 1

source: June30 TI Form10-Q pp4-5,12-13,16; February24 capital discussion; September17 dividend.

bounded: Model5bn permanent financing atclose,5.5% interest andmaturity beyond2030. Disclosed5bn facility is a364-day delayed-draw bridge, not permanent financing; delayed close requires renewal. No additional equity or discretionary buybacks.

bridge: All32 paths mincash5439.612m. Zero furtherCHIPS and55% incrementalworking-capital stress min3661.322m. No-new-financing diagnostic min475.833m, below3500m modelreserve. Only1863m ofexisting2163m CHIPSreceivable is collected;300m reserved.

zero reason: No funding-failure zero-common mass imposed: funding is necessary to preserve the selected liquidity reserve, but the no-debt diagnostic does not itself establish insolvency. Market access and bridge renewal remain explicit risks.

overlap: Face debt paid once; end-window cash/debt matched. No old CHIPS receipts repeated, no investment credit on all overseascapex, no lease double deduction withGAAP rent.

SHARES

p: 1

source: July15 TI cover count; Q2 two-classEPS note; annual awardfootnote; merger conversion clauses.

bounded: 913.247686m actual +6m participatingRSUs +12m optionequivalent reserve +0.5m quarterly netgrowth. Option reserve bound8-16m; RSUs4-8m. Target residual converted awards added onlyafterclose at231/288.98 proxy ratio.

bridge: End-window state denominator. Participating RSU profit allocation is not deducted again because their rights are represented in the denominator. Ordinary SBC remains fully expensed; no forecast exercise cash credited.

counter: Exact current grossoption/RSUroll andfuture closingVWAP require updates. Unused plan authorizations are not issuedshares.

Remaining bounded uncertainties

- Q3 2026 actual results are scheduled October21. Quarterly end-market allocations are model estimates, distinct from reported Analog/Embedded/Other segments.

- Exact eligible repricing mix, premium and duration are not disclosed. Pricing and lost-volume overlap are explicitly paired.

- 800V reference designs do not establish exclusive allocation, chip content or production volume. The domain/content wallet is bounded and50% overlap-adjusted.

- Final Silicon Labs ordinary shares, interim vesting, accelerated awards, residual converted awards, closing VWAP, taxbasis and purchase allocation remain unknown.

- The modeled5bn permanent financing is not the disclosed364-day bridge. Delayed closing requires renewal or replacement; the no-financing diagnostic breaches the liquidity reserve.

- PPA450m/year is a provisional4500m allocation over10years; sensitivity3000-5000m over8-12years. It remains in GAAPOP and is not assumed immediately cash-tax-deductible.

- Optionequivalent reserve12m and participatingRSU reserve6m are forward assumptions. Datedactual shares and weighted EPS counts are not interchangeable.

- Within-year debt maturities use a quarterly budget matching disclosed annual face principal, not an exact settlement-date schedule.

- The selected3500m liquidity reserve is below the issuer general objective of10% trailing revenue plus next-year dividends. Strategic deal drawdown is explicit.

- Onlyexisting CHIPSreceivables are forecast for cash; overseas assembly/test capex does not qualify automatically for US35% investment credits.

- Source demonstrations and long-term sourcing aspirations are capability evidence, not saleable-unit capacity or confirmed customer purchase orders.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

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